Aerospace & Defence Update

# Valuation update: Middle East driven de-rating mostly overdone

**Industry Overview**

## Civil AM stands out, Defence de-rating overdone

Post Q1, we analyse how valuations across civil and defence have trended in the past months. The European defence sector has de-rated c20% in the last month, driven by volatile news flow around ceasefires in Ukraine/Middle East and mixed Q1 results. We believe this provides a particularly attractive opportunity for exposure to a multi-year rearming cycle. We highlight Indra and Leonardo (-c18% and -c25% derating resp in the last month) which we see as attractive idiosyncratic stories that we think have come under the radar. Civil Aero 12m fwd PE now sits at a c50% premium rel SXXP, down from c74% at the start of 2026, impacted by the current turmoil in the Civil sector due to the Middle East conflict. Despite this, Civil names have remained resilient. Rolls stands out with 115% of 2019 EFH in 1Q26, well ahead of our expectation of 110%, driven in part by a strong Jan-Feb, but also by the young age of the XWB fleet, which is back above pre conflict levels on our estimates. We see the young age of the Rolls fleet protecting them on the downside in coming quarters despite the high levels of uncertainty.

## Defence: recent de-rating provides enhanced opportunity

EU defence 12m fwd PE multiples have de-rated c20% in the last month, amid a mixed Q1 season and volatile news flow around ceasefires in Ukraine and the Middle East. Q1 was marked by some contract award delays, in particular from Germany. Visibility remains low on the timing of these large framework orders, and does remain an overhang. Despite this, the demand outlook remains strong and is set to last well beyond 2030. European Defence is currently trading at a c77% premium to SXXP (20y avg c5%). We continue to see upside at this valuation, given the strong growth and margin outlook. We see the sector's top line growing c11% organically 2026-30, with EBIT margin expansion of c240bps. The sector is now trading at c9.3x EV/EBIT in 2029 on BofAest, which we believe is inexpensive if orders remain strong, giving confidence in the ramp.

## Civil: MTU most inexpensive, Rolls stands out

Civil Aero has derated significantly since the onset of the Middle East conflict, now trading at a c50% premium to SXXP on 12m fwd PE vs 70% before. Investor concern has mostly centred around the impact on aftermarket, due to both higher jet fuel prices and capacity cuts at certain airlines. Despite this, Q1 has shown a resilient aftermarket performance, with little impact from the crisis and a positive tone on the FY outlook. Given this, we believe the risk could be more on FY27 numbers rather than FY26, and see the widebody market especially as more resilient vs narrowbody into H2. This is supported by the strong results at Rolls in Q1, confirming our positive view on the name, and our flight-cycle data showing a higher deterioration for narrowbody engines. While this could be a risk for MTU, we see the current valuation as attractive at c8.9x EV/EBIT on 2029 BofAest (4% discount to sector) despite the near-term uncertainty. The catalyst to re-rating though is likely going to be growing visibility on the spare engine ratio through 2H and if this poses downside risk to guidance, which it could in our view.

**18 May 2026**

Equity
Europe
Aerospace & Defence

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Resp: Respectively

+ve: Positive

Rel: Relative

Opps: Opportunities

Ests: Estimates

MT: Mid term

EFH: Engine flying hours

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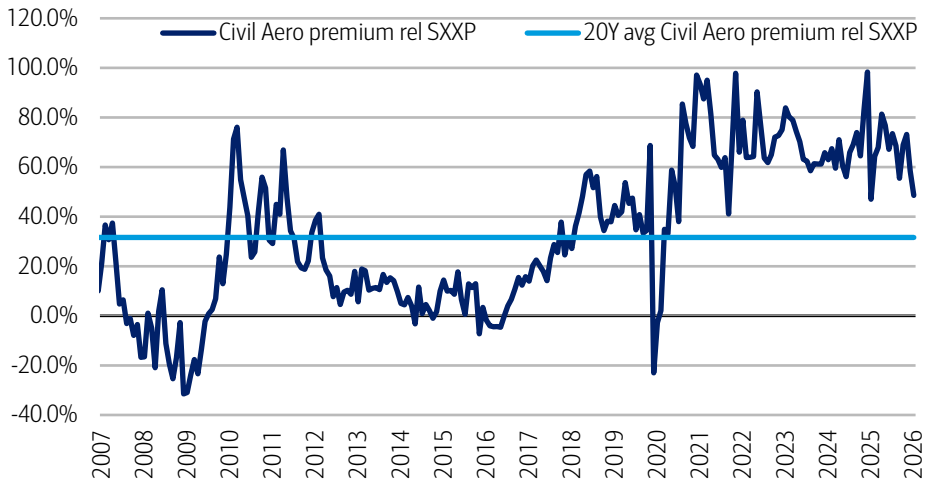
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Timestamp: 18 May 2026 12:53AM EDT

# Civil Aero 12m fwd PE now at 50% premium to SXXP

As we exit Q1 season, we analyse how valuation across civil and defence have been trending in the past months. Defence 12m fwd PE multiples have been volatile YTD, driven by uncertainty around ceasefires in the Middle East and Ukraine, geopolitical tensions and a mixed Q1 season. Civil Aerospace has been impacted more specifically by the turmoil in the Middle East, notably the aftermarket part due to the sharp increase in jet fuel prices and capacity cuts announcements from certain airlines. The 12m fwd PE now sits at a c50% premium rel SXXP, down from c74% at the start of 2026. In Civil, Q1 results have shown a minimal impact on aftermarket performance, and companies have broadly maintained a positive tone on the FY outlook, with no major guidance downgrades. Rolls in particular reported strong EFH in Q1 (115%), which supports our view that the widebody market will likely remain more resilient than narrowbody into H2. This is also confirmed by our flight-cycle data, which shows that older and narrowbody engines (CFM56, V2500) have seen a sharper deterioration. Overall, we expect Civil Aero to maintain a premium to both the SXXP and its historical premium to the SXXP (c31%) given strong backlogs, healthy balance sheets, improving cash flow generation and capital allocation optionality. In Defence, we believe the recent de-rating provides a particularly attractive opportunity, given we're positive on the sector's medium-term outlook.

**Exhibit 1: EU Civil 12m fwd PE vs rel SXXP**
Civil Aerospace premium sits at c.70% relative to the SXXP




**Source:** BofA Global Research estimates

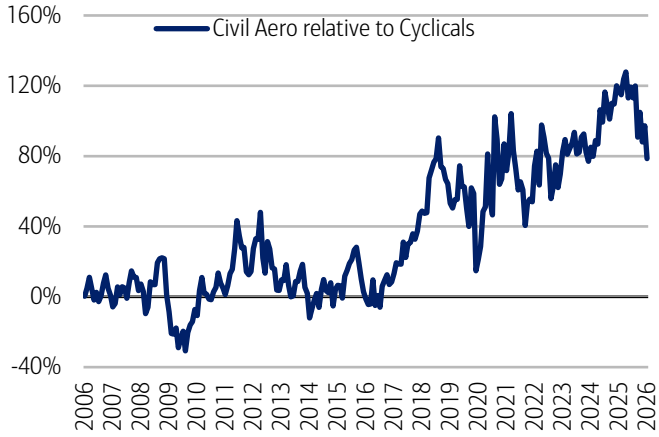
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In the last six months, Civil Aerospace has derated considerably also relative to both quality and cyclical cap goods. It is now trading at a c80% premium to cyclicals and a c8% premium to quality. We note that both cyclical and quality cap goods have re-rated YTD, driven by the strong trends in electrification, mining and the start of a short cycle recovery. Despite this, Civil Aerospace remains at a high premium vs the last 20Y compared to both quality and cyclical cap goods and we believe this will likely continue into 2H26, supported by backlog visibility and a resilient widebody aftermarket.



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**Exhibit 2: EU Civil Aerospace 12m fwd PE vs "cyclical" Capital Goods**
Civil Aerospace trades at c.80% premium vs cyclical cap. goods




**Source:** Eikon Cyclicals include: Sandvik, SKF, Metso, Nexans, Volvo, Bodycote, Vesuvius, KION, Schaeffler

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**Exhibit 3: EU Civil Aerospace 12m fwd PE vs "quality" Capital Goods**
Civil Aerospace is trading at c.8% premium vs "quality" Capital Goods



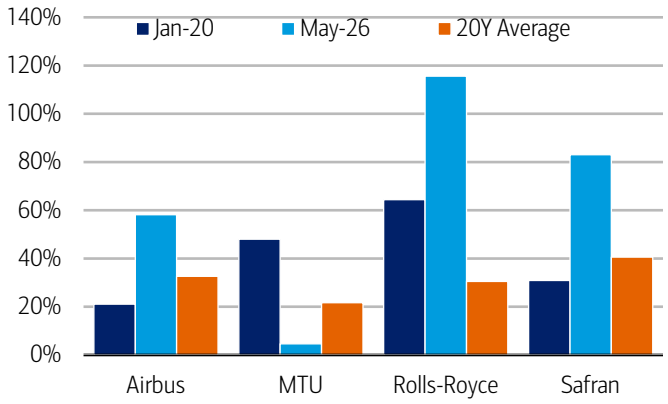

**Source:** Eikon Quality includes Atlas Copco, Alfa Laval, Assa Abloy, KONE, Spirax-Sarco, Rotork

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**MTU most inexpensive name vs SXXP, Rolls attractive despite higher valuation**

Airbus, Safran and Rolls are trading at a higher relative premiums vs the SXXP than the period prior to COVID. MTU is the only company trading at a lower relative premium, and we note this is even lower vs our last review in Jan. While our flight-cycle data shows mixed performance since the onset of the Middle East conflict for some of the engines that MTU is exposed to (PW2000-4000, V2500), we think the concerns around the GTF spare engine ratio will remain in the next 6-12 months, but the valuation is at a clear discount to peers now as a result. Rolls has surprised positively in Q1 in our view, as can also be seen by the EPS revisions. While the higher valuation clearly reflects this resilience, we believe it remains attractive given the strong medium-term outlook that we see, with Rolls still trading at a FCF discount to peers. For Airbus, Q1 was weak but this was due to temporary issues that are now resolved. Some uncertainty remains on the supply chain for this year, but we remain constructive on the medium-term outlook. Overall, we expect the sector to maintain a premium to the market mid-term given strong visibility and accelerating earnings growth as well as capital allocation optionality.

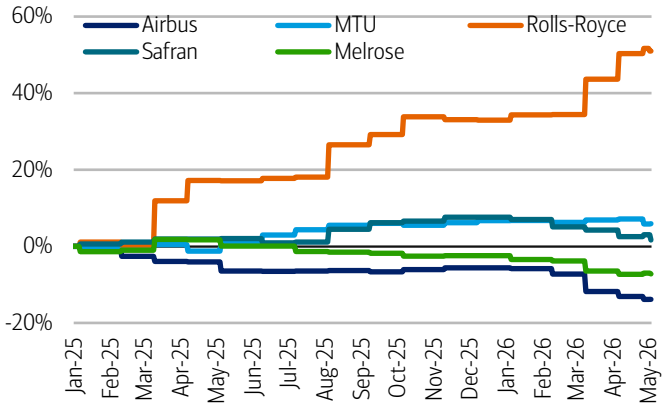
**Exhibit 4: EU Civil Aerospace 12m fwd PE relative to SXXP**
Valuation for the period Jan 2020, May 2026 and 20Y average




**Source:** BofA Global Research estimates, Eikon

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**Exhibit 5: EU Civil 2026 EPS revisions since 1st Jan 25**
Rolls EPS revisions have increased considerably YTD




**Source:** BofA Global Research estimates, Eikon

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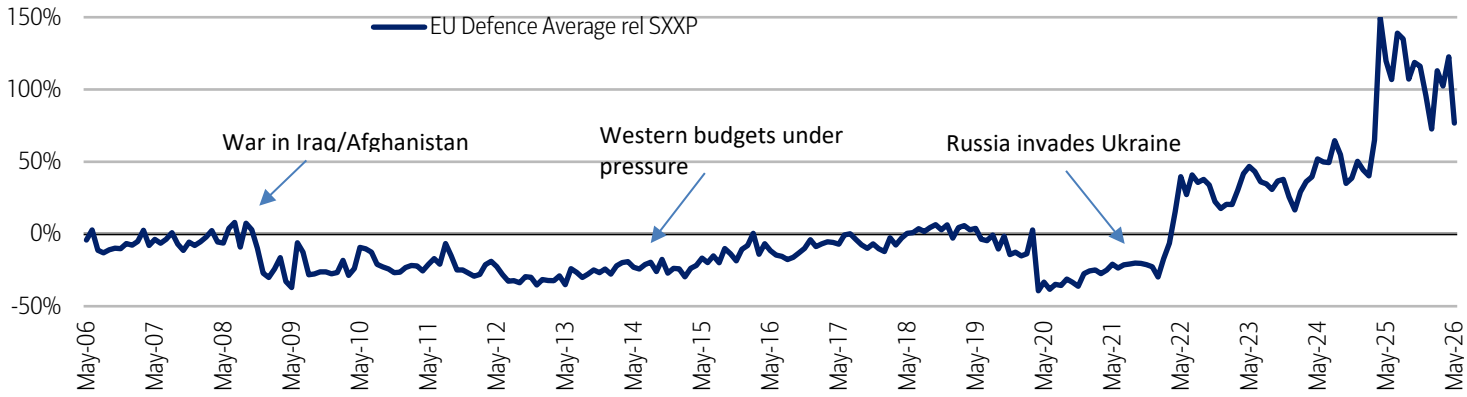
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# EU defence 12M fwd PE has de-rated c20% in the last month

EU Defence 12m fwd PE multiples have de-rated c20% in the last six months, but have also re-rated c20% from Jan to April, and de-rated 20% in the last month. The start of 2026 was marked by the announcement of a strong increase of the US defence budget in 2027, followed by the deterioration of the situation in the Middle East. The Middle East conflict has been a positive driver of defence multiples initially, but the subsequent uncertainty around a ceasefire has then become a drag for valuations. We have also seen contract delays for companies like Rheinmetall and Renk in Q1, which likely contributed to the de-rating. Nonetheless, we believe the recent de-rating provides a particularly attractive buying opportunity in the sector, as we continue to believe in the European rearmament cycle mid-term.

**Exhibit 6: EU Defence Average rel SXXP**

The EU Defence sector has been very volatile in the past 6 months, given uncertainty around a Ukraine ceasefire and the new conflict in the Middle East. We see the recent derating as a particularly attractive buying opportunity for a structurally growing end market into 2026-27




**Source:** BofA Global Research estimates

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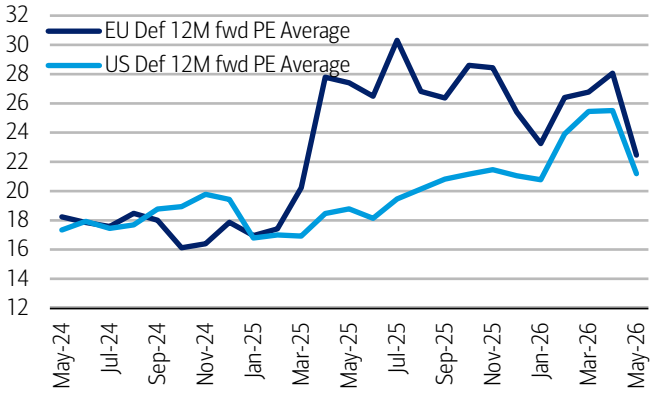
EU defence started 2026 trading at c53% premium rel SXXP and now trades at c57%, much lower than the c120% peak around a year ago. US defence has had a similar re-rating and de-rating path YTD, and has remained roughly in line with the S&P 500. Valuations for EU defence remain elevated vs history, with the sector currently trading on c12x EV/EBIT in 2028 and c17x PE in 2028 on our estimates. We believe the recent de-rating is unjustified given the strength that we see in the medium-term outlook, regardless of a ceasefire in the Middle East or Ukraine. We forecast org top line growth of c11% 2026-30, with EBIT margin expansion of roughly 240bps.



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**Exhibit 7: EU defence 12M fwd PE Average vs US defence 12M fwd PE Average**

The average EU Defence 12m fwd PE multiple has de-rated c26% since the July 2025 peak

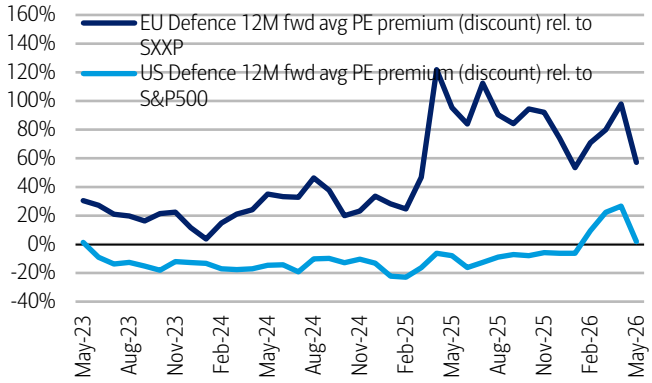



**Source:** BofA Global Research estimates, Eikon

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**Exhibit 8: EU defence 12M fwd avg PE prem. (disc) rel. to SXXP vs US defence 12M fwd avg PE premium (disc) rel. to S&P 500 last 3 years**

EU defence premium over its index has fallen c55ppts since July 2025




**Source:** BofA Global Research estimates, Eikon

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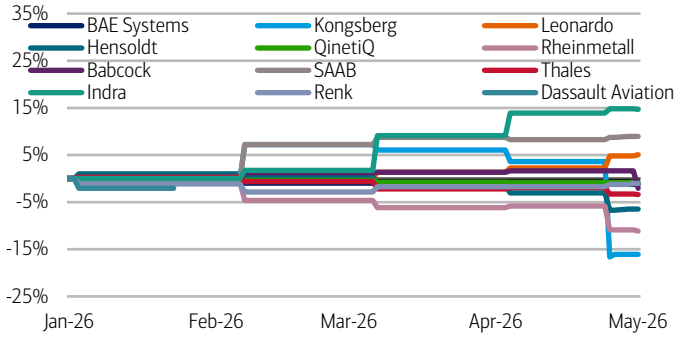
### Market rewards topline growth but expect focus to shift to growth duration beyond 2030 into 2026

The companies in our coverage that have seen the most negative EPS revisions YTD are Kongsberg, Rheinmetall and Hensoldt. For Konsberg, this is purely a mechanical result of the Maritime spin. Rheinmetall has been under pressure likely due to news of order delays out of Germany and weak Q1 results. This might have also affected Hensoldt given its large exposure to Germany, though Q1 results were solid and we are bullish on its air defence/electronics portfolio.

On the other hand, Indra is the company with the most positive EPS revisions YTD, followed by SAAB and Leonardo. For Indra, Q1 was a miss but this was just due to phasing, and we expect a material acceleration from Q2. We remain bullish on its defence portfolio mid-term, also seeing optionality with the new Space division. For SAAB, despite a mixed Q1 we remain constructive on the medium-term outlook, driven by Surveillance and the Gripen/GlobalEye campaigns. However, elevated 2026 cons drives our Neutral rating on the stock. We also see Leonardo as a beneficiary of the current rotation that we see towards air defence, with Q1 showing strong momentum in its Defence Electronics division.

While valuations are indisputably rich (exhibit 10) we continue to believe that there is scope for significant multiple re-rating, especially on Indra (7.4x EV/EBIT 2028 BofA ests vs sector 11.6x), and Leonardo (9.6x EV/EBIT 2028 BofA ests).

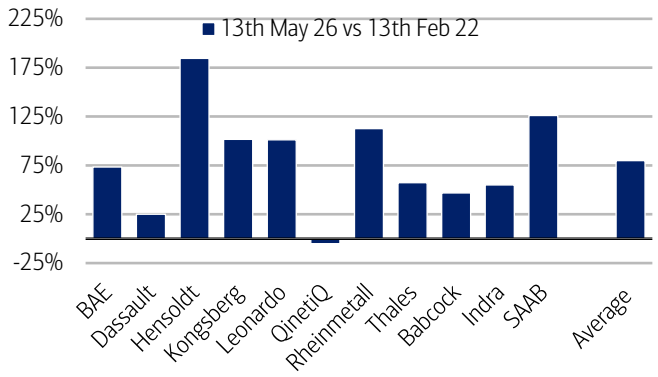
**Exhibit 9: EU defence 2026 EPS revisions YTD (since 1st Jan 26)**
Indra has seen the most positive 2026 EPS revisions YTD




**Source:** BofA Global Research estimates, Eikon

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**Exhibit 10: 12M fwd PE multiple premium (discount) vs SXXP pre-invasion of Ukraine and currently**
Our coverage has re-rated on average by c.80% vs the SXXP since Feb 2022




**Source:** BofA Global Research estimates, Eikon

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# Weekly news round up

**Exhibit 11: Global Aerospace and Defence Weekly Newsflow**
Major news from the last week in the Global Aerospace & Defence Industry

| Weekly newsflow | Source |
|---|---|
| **Singapore Airlines' budget arm Scoot orders 11 Airbus A320neo family jets:** Singapore Airlines' low-cost arm, Scoot, has ordered five Airbus A320neo family aircraft and exercised options for six more, it said, as the carrier looks to expand capacity and add new routes. The new narrowbody aircraft, to be delivered progressively from 2028, will be powered by Pratt & Whitney geared engines, Scoot said in a statement. Scoot said the expansion would support new services within a five- to six-hour flying radius, strengthening Singapore's air links with Southeast Asia, North Asia and other key markets, and improving connections to the wider SIA Group network. "We expect travel demand to continue growing, particularly in the Asia-Pacific region, in the coming years," Scoot CEO Leslie Thng said. Since the 2022/23 financial year, the airline has added 25 new destinations, including non-metro cities such as Chiang Rai in Thailand and Phu Quoc in Vietnam, as well as long-haul routes such as Vienna. With the new order, Scoot's total A320neo family orderbook will now rise to 20 aircraft. The aircraft will be configured in a single-class layout, with 186 seats on the A320neo and 236 seats on the larger A321neo, the airline said. | Reuters |
| **Spirit Airlines grounding could help ease shortages in tight engine market:** The recent grounding of U.S. budget carrier Spirit Airlines could help ease shortages of next-generation RTX spare engines needed to keep late-model Airbus single-aisle jets flying, industry executives and analysts say. Spirit ceased operating its all-Airbus fleet on May 1 due to high jet-fuel prices. Its bankruptcy is leading to fresh cases of near-new A320neos being dismantled for parts - a trend that had already been occurring in the industry due to a severe shortage of RTX Pratt & Whitney Geared Turbofan engines. With more A320neo planes becoming available in the United States following Spirit's demise, the fuel-efficient GTF engines are often more appealing than the aircraft they power. "We are seeing some of the GTF engines from the Spirit A320s being removed from the airframes and leased out to customers to support (aircraft on the ground)," said Austin Willis, CEO of Willis Lease Finance Corp, who added that leasing rates for GTF engines have not declined. "This is providing some limited temporary relief from the supply/demand imbalance." Hundreds of A320neo planes have been grounded, due in part to long waiting times for engine inspections and repairs, and after a manufacturing problem at Pratt & Whitney put pressure on GTF engine output. GTF engines power at least 40% of A320neos in service and compete for airline contracts with CFM International's LEAP engine. Airbus has complained of GTF shortages for new jets during a tug of war over who has priority to receive scarce engine supplies - assembly lines for new aircraft or airlines waiting for repairs. Lars Wagner, CEO of Airbus' Commercial Aircraft business, declined to comment on the GTF during an interview on Wednesday. | Reuters |
| **TKMS rules out German Naval Yards bid battle as defence consolidates:** German warship builder TKMS effectively ruled out a bidding war for smaller shipyard German Naval Yards on Monday, with its CEO saying the proposed purchase was "an option, but not a must" after a rival bid from Rheinmetall. Europe's naval firms are exploring tie-ups and partnerships amid accelerating consolidation in the booming defence sector, with Rheinmetall, the region's top ammunition maker, having last year joined the fray after the purchase of shipmaker NVL. German Naval Yards (GNYK), which employs around 350 workers, has attracted bids from TKMS and Rheinmetall, with sources saying British defence, marine and industrial firm Inocea Group was also interested. "We are not prepared to pay any price in the world," TKMS CEO Oliver Burkhard said, dampening market expectations of a competitive bidding process for GNYK, which is part of France's family-owned CMN Naval group. TKMS shares were trading 5.7% lower at 1320 GMT, along with a broader decline in European defence stocks. | Reuters |
| **'Money alone does not build ships,' TKMS CEO says on rival Rheinmetall bid for GNYK:** German warship maker TKMS has taken note of a rival bid for the German Naval Yards (GNYK) shipyard from Rheinmetall, its CEO said, adding that while the ammunition maker likely had more financial firepower it was not the only decisive factor. "Money alone does not build ships," Oliver Burkhard told reporters after presenting second-quarter results, adding that expertise was equally important and something where TKMS had the upper hand versus rivals. | Reuters |
| **UK's Babcock books $190 million charge on Type 31 frigate contract:** Britain's Babcock on Wednesday said it expects to incur a 140-million-pound ($189.64 million) charge on its Type 31 frigate contract due to higher-than-expected rework costs, though it kept its fiscal 2027 outlook unchanged. The defence contractor signed a fixed price contract to deliver five Type 31 frigates - a type of warship - to the Royal Navy in 2019. However, inflation and design-related rework have driven up costs, leaving Babcock with losses of more than 300 million pounds. Due to the contract's re-estimate, Babcock now expects to publish its audited preliminary results for fiscal 2026 in late June. | Reuters |
| **Thales and ArianeGroup say first firing of new French long-range rocket launcher successful:** Defence and cybersecurity company Thales and ArianeGroup said they had successfully carried out the first firing of a new long-range French rocket launcher, the FLP-t 150, this month. "This first flight test validates the studies and underscores the value this first complete system offered," the companies said in a joint statement. Rockets launched from the FLP-t 150 can travel beyond 150 kilometres (93 miles), the statement added. Last month, France had said it planned to add a further 36 billion euros ($39 bn) to its defence spending between now and 2030 under an updated military planning law that expands its and boosts missile and drone stocks. The increase, proposed despite France having one of the euro zone's biggest budget deficits, reflects mounting security pressures from wars in Ukraine and the Middle East and growing uncertainty over U.S. commitments to NATO under President Donald Trump. ArianeGroup is owned by Airbus and Safran. | Reuters |
| **Italian rocket maker Avio's quarterly earnings rise 30%:** Italian rocket maker Avio said on Tuesday its first-quarter core earnings rose from the year before as stronger revenue offset higher costs tied to its U.S. business. Earnings before interest, taxes, depreciation and amortisation (EBITDA) rose about 30% to 5.2 million euros ($5.9 million) in the first quarter of 2026. Order backlog stood at 2.12 billion euros. Order intake during the period was around 80 million euros, CFO Roberto Carassai said in the post earnings call. Reported net revenue rose 19% to 128.5 million euros, driven by Vega C production activities and defense business growth. The rocket maker confirmed its 2026 guidance, expecting EBITDA in a range of 27 to 35 million euros, and a net profit between 8 and 13 million euros. | Reuters |
| **Boeing's new order bookings surge in April:** Boeing booked 135 net new orders in April, nearly matching its total in the first three months of the year, the company said on Tuesday. Through the first four months of the year, Boeing has booked 284 new orders after adjusting for cancellations and conversions. That is the highest total for that period since 2014. However, the U.S. planemaker trails European rival Airbus, which has booked 405 orders after cancellations and conversions through April 30. Airbus delivered 67 jets last month. Boeing delivered 47 jetliners in April, one more than the previous month. Deliveries are when customers hand over most of the cash for a new airplane, and so are closely tracked by investors. Last month's deliveries included 34 737 MAX jets and six 787s. Certification delays for premium seats continue to hamper deliveries of Boeing's 787. Nonetheless, the company still expects to deliver 90-100 of the popular twin-aisle jet this year, CFO Jay Malave said during an earnings call last month. | Reuters |
| **Boeing shares drop 4% after Trump announces China orders just 200 jets:** China has agreed to buy 200 Boeing jets, U.S. President Donald Trump told Fox News Channel on Thursday, a number that was far fewer than analysts had expected, and the planemaker's shares fell. Details of the deal were not immediately available, including when and which type of jets would be delivered, but the amount was much smaller than the roughly 500-plane package that sources told Reuters was under discussion ahead of a meeting on Thursday between Trump and Chinese leader Xi Jinping. "One thing he agreed to today, he's going to order 200 jets ... 200 big ones," Trump said on Fox News' Hannity, referring to Xi. Boeing shares fell 4.1% during market trading on Thursday. A large Boeing order was one of many business deals expected to come out of the closely watched summit, as well as an extension of a fragile trade truce struck last October, when Trump suspended triple-digit tariffs on Chinese goods and Xi backed away from choking global supplies of vital rare earths. The White House did not immediately respond to a request for comment on Wall Street's reaction to the announcement. The talks had been for 500 Boeing 737 MAX jets, plus possibly dozens of more expensive widebody jets in follow-on orders after the summit, according to sources familiar with the discussions. China has also been in talks for a similarly sized deal with European planemaker Airbus. | Reuters |
| **GE Aerospace CEO Larry Culp visits China's state planner headquarters:** GE Aerospace CEO Larry Culp was seen on Friday in Beijing leaving a meeting at the headquarters of China's powerful state planner, the National Development and Reform Commission, according to a Reuters witness. Culp's visit to the NDRC building comes after U.S. President Donald Trump told Fox News that following talks in Beijing with his Chinese counterpart Xi Jinping China had agreed to order 200 Boeing, its first purchase of U.S.-made commercial | Reuters |



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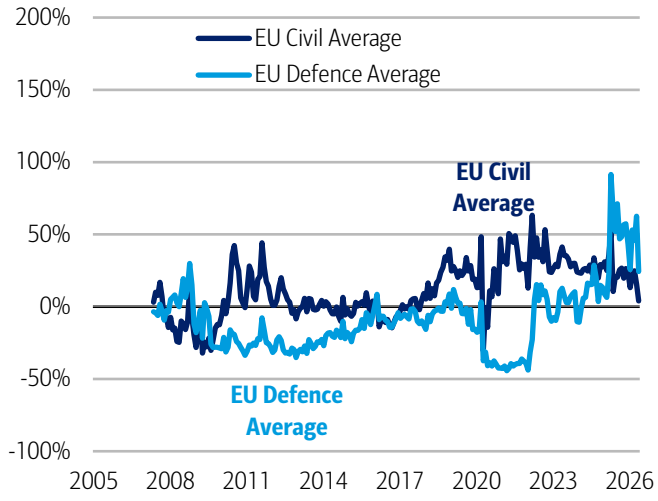
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| Weekly newsflow | Source |
|---|---|
| jets in nearly a decade. As Boeing's primary engine supplier, GE Aerospace also stands to gain from the purchase agreement, even if it fell far short of the roughly 500 jets the markets had expected, causing both companies' shares to fall. Culp, along with Boeing CEO Kelly Ortberg, are part of a business delegation of more than a dozen U.S. conglomerate executives accompanying Trump on his first state visit to China in almost a decade. GE Aerospace did not immediately respond to a request for comment on the purpose of Culp's NDRC visit. | |

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# Global A&D Valuations

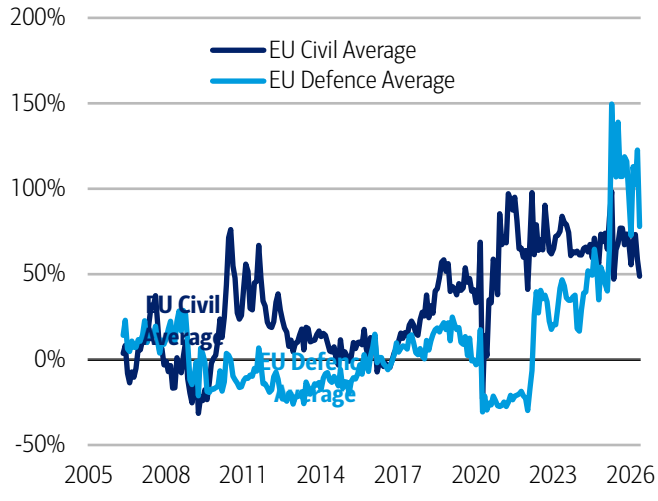
**Exhibit 12: EU Civil & Defence 12mnth fwd. PE rel SXNP (industrials).**
EU Civil is currently trading at 4% premium to SXNP, and defence is trading at 24.4% premium to index (14/05/2026)




**Source:** BofA Global Research estimates. EU Defence = Thales and Finmeccanica, BAE, QQ,, Rheinmetall, SAAB, Hensoldt, Kongsberg EU civil: Airbus,, MTU, Safran

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**Exhibit 13: EU Civil & Defence 12mnth fwd. PE rel SXXP (market).**
EU Civil is currently trading at 48.8% premium to SXXP, and defence is trading at 77.9% premium to SXXP (14/05/2026)




**Source:** BofA Global Research estimates. EU Defence = Thales and Finmeccanica, BAE, QQ, Rheinmetall, SAAB, Hensoldt, Kongsberg EU civil: Airbus,, MTU, Safran

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# Where numbers are moving

Sector FY26 EPS over the last month saw 2.9% decrease with Civil OE names seeing 2.3% decrease, civil aftermarket names seeing 1.7% decrease and defence names seeing 3.6% decrease. The major estimate increase was Rolls-Royce (+5.8%) and decrease was Kongsberg (-20.9%) during last month.

We will continue to monitor the consensus EPS data on a weekly basis.

**Exhibit 14: EPS Revision to- 14th May, 2026**
EPS revisions have been overall positive as the re-opening consolidates and the first positives of increasing defence budgets are felt

| | 1M | 3M | 6M | 1Y |
|---|---|---|---|---|
| Airbus | -2.3% | -8.5% | -8.3% | -10.2% |
| BAE Systems | -0.1% | -1.4% | -1.2% | -0.8% |
| Dassault | -0.1% | -5.8% | -7.4% | -8.7% |
| Hensoldt | -5.0% | -7.4% | -13.1% | -18.8% |
| Kongsberg | -20.9% | -16.0% | -19.1% | -13.9% |
| Leonardo | 3.7% | 5.1% | 9.5% | 13.2% |
| MTU | -0.9% | -0.8% | 0.4% | 7.3% |
| QinetiQ | 0.0% | -0.6% | -0.9% | -5.0% |
| Rheinmetall | -5.3% | -10.4% | -13.6% | -13.8% |
| Rolls-Royce | 5.8% | 13.1% | 13.5% | 29.7% |
| SAAB | 0.2% | 9.3% | 9.5% | 15.9% |
| Safran | -2.5% | -5.0% | -4.6% | -0.3% |
| Thales | -1.2% | -3.6% | -2.8% | -2.0% |
| EU Civil OE | -2.3% | -8.5% | -8.3% | -10.2% |
| EU Civil Aftermarket | -1.7% | -2.9% | -2.1% | 3.5% |
| EU Defence Average | -3.6% | -3.1% | -3.9% | -3.1% |
| EU Sector Average | -2.9% | -3.8% | -4.3% | -3.1% |

**Source:** DataStream

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**Exhibit 15: 12mnth FWD PE to- 14th May, 2026**
Civil Aerospace has re-rated as the re-opening has consolidated

| | 1M | 3M | 6M | 1Y |
|---|---|---|---|---|
| Airbus | 2.6% | -17.8% | -15.3% | 12.4% |
| BAE Systems | -18.3% | -9.2% | -6.6% | -0.6% |
| Dassault | -19.1% | -8.2% | 0.8% | -16.7% |
| Hensoldt | -6.0% | -18.0% | -26.0% | 8.9% |
| Kongsberg | -14.6% | 3.8% | 3.5% | -17.5% |
| Leonardo | -25.5% | -23.4% | -20.6% | -20.3% |
| MTU | -13.2% | -26.9% | -28.7% | -11.7% |
| QinetiQ | -18.1% | -19.1% | -19.4% | -2.3% |
| Rheinmetall | -29.0% | -39.6% | -41.2% | -39.5% |
| Rolls-Royce | -12.4% | -23.5% | -14.4% | 5.7% |
| SAAB | -30.0% | -39.9% | -21.2% | -24.4% |
| Safran | -6.8% | -13.7% | -10.9% | 5.4% |
| Thales | -10.5% | -15.5% | -17.0% | -23.2% |
| EU Civil OE | 2.6% | -17.8% | -15.3% | 12.4% |
| EU Civil Aftermarket | -10.8% | -21.4% | -18.0% | -0.2% |
| EU Defence Average | -14.9% | -12.5% | -13.4% | -10.5% |
| Sector Average | -15.7% | -19.0% | -16.9% | -10.8% |

**Source:** DataStream

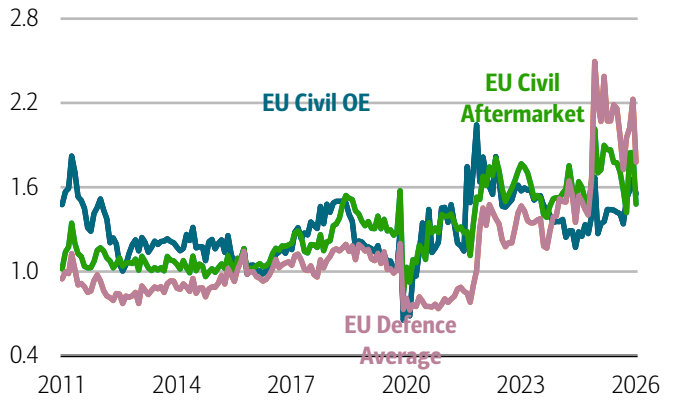
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# Global PE Trends

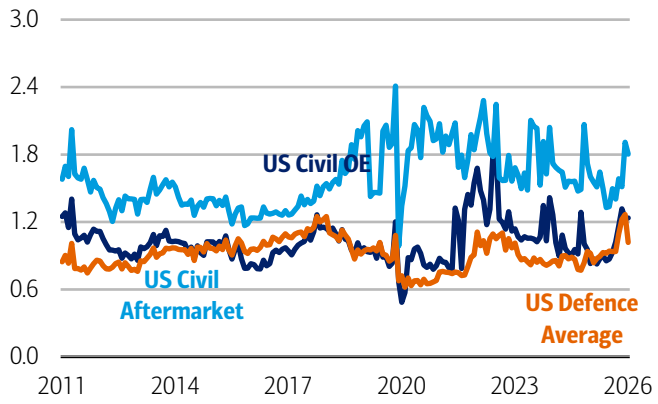
**Exhibit 16: EU A&D Sector Valuations -relative 12mnth FWD PE**
Defence has re-rated since February 2022 and has held its multiple premium




**Source:** DataStream

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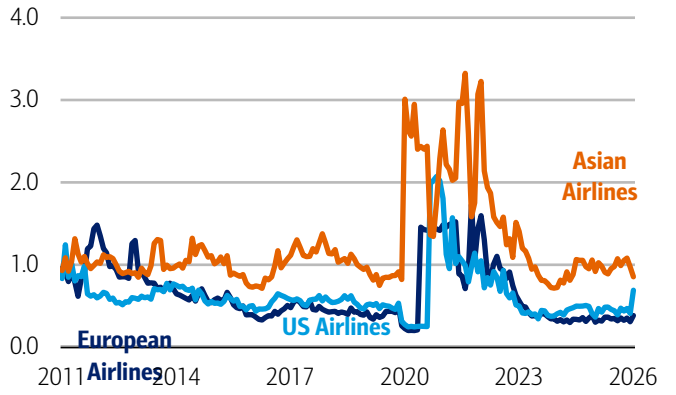
**Exhibit 17: US A&D Sector Valuations -relative 12mnth FWD PE**
US names have not re-rated significantly since February 2022 vs EU




**Source:** DataStream

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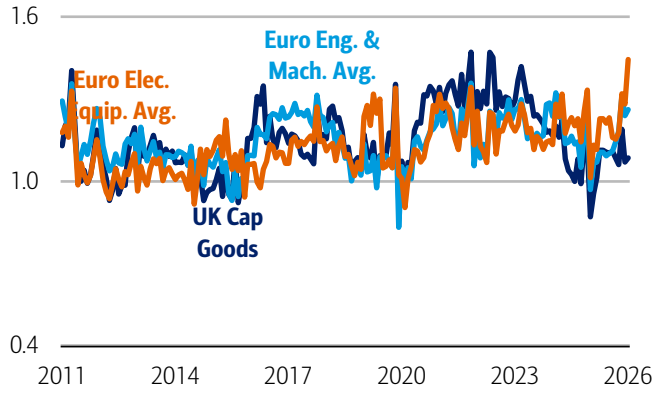
**Exhibit 18: Global Airlines Valuations -relative 12mnth FWD PE**
Airlines are largely back to pre COVID valuation levels




**Source:** DataStream

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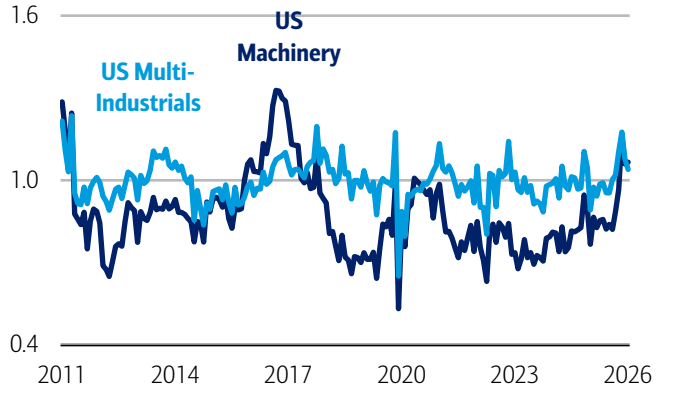
**Exhibit 19: EU Industrials Sector Valuations -relative 12mnth FWD PE**
European Capital Goods are trading generally at higher levels vs. Pre COVID




**Source:** DataStream

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**Exhibit 20: US Industrials Sector Valuations -relative 12mnth FWD PE**
US Industrials have remained broadly stable through the last few years on multiples.




**Source:** DataStream

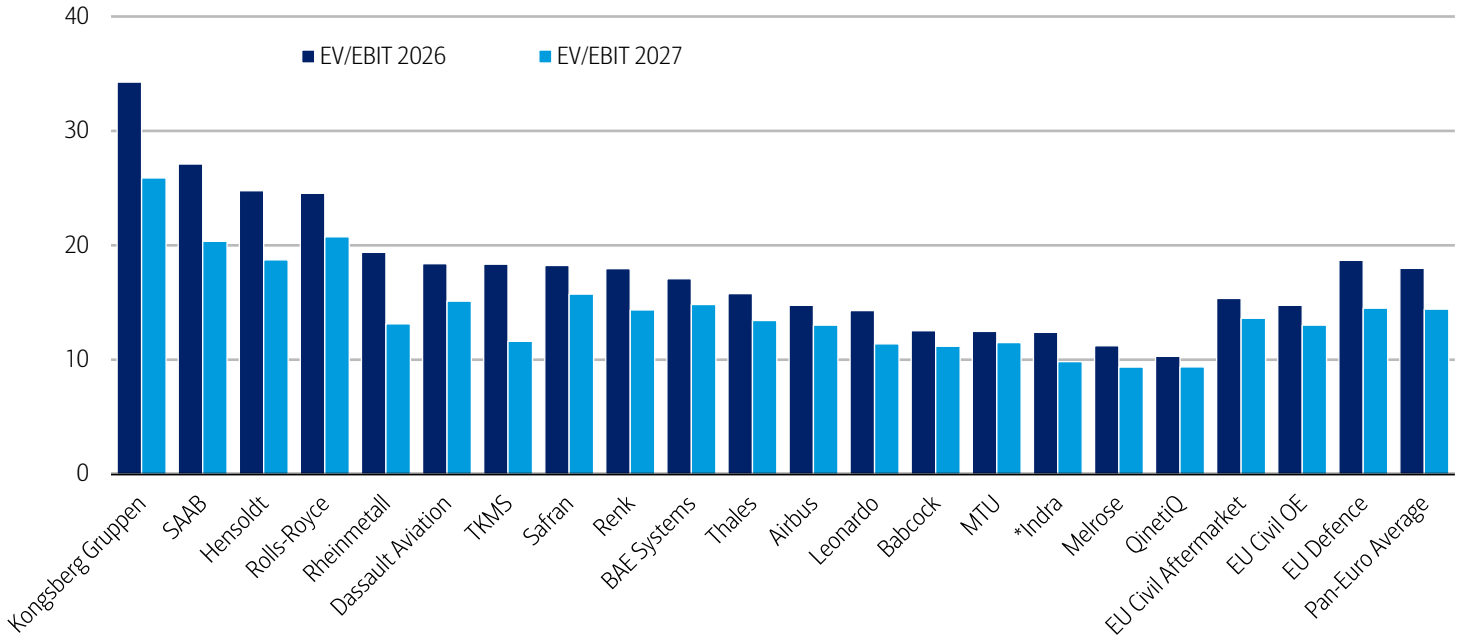
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# Valuations and PE ranges

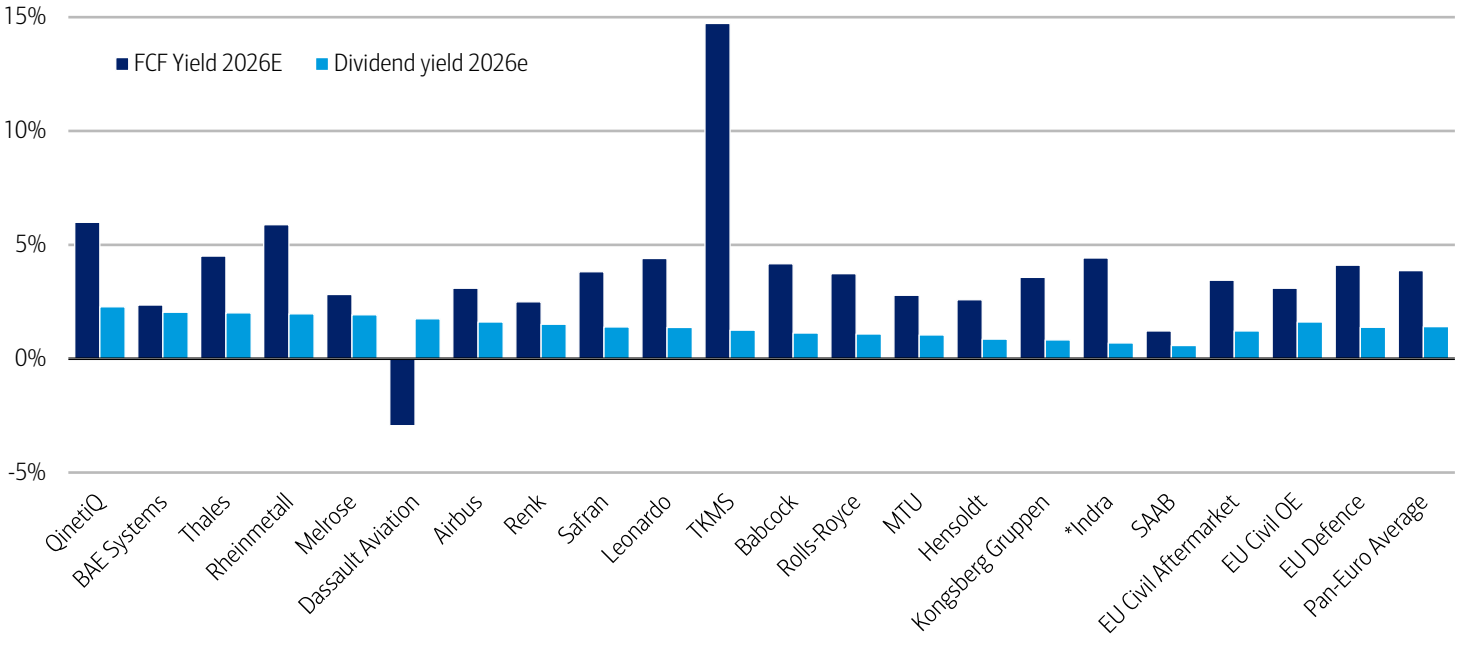
**Exhibit 21: EV/EBIT for 2026 and 2027**
2026 (Pan-Euro avg=17.99) and 2027 (Pan Euro avg =14.42) ordered in terms of 2026, most expensive to least




**Source:** BofA Global Research estimates

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**Exhibit 22: Free Cash Flow Yield % and Dividend Yield %**
Free cash flow Pan Euro avg= 3.87% and dividend yield avg =1.41%




**Source:** BofA Global Research estimates

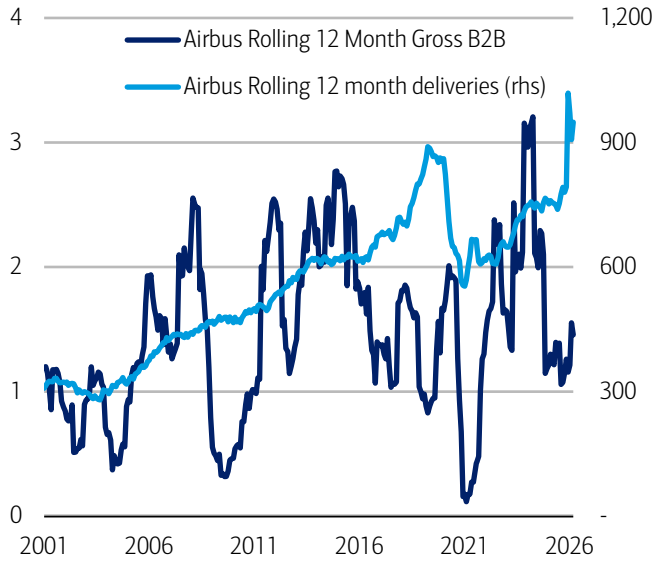
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# Global book to bill trends

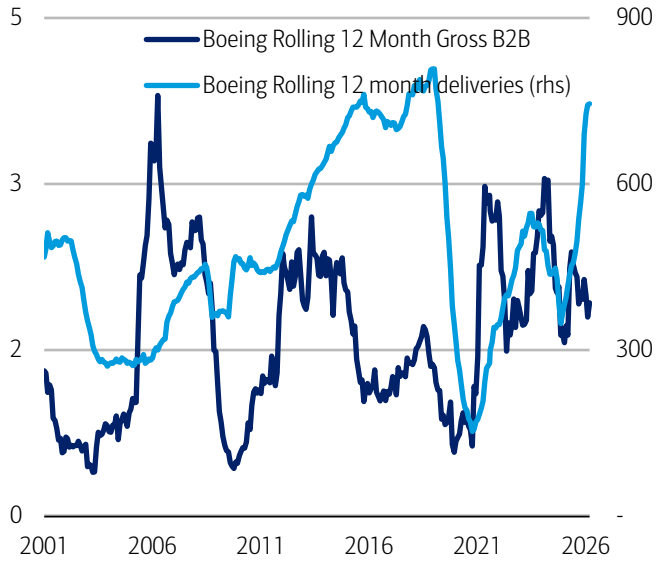
**Exhibit 23: Airbus 12mnth Rolling B2B and deliveries**
Airbus delivered 793 aircraft in 2025 driving a step up in 12m rolling deliveries - new orders have improved significantly




**Source:** BofA Global Research estimates

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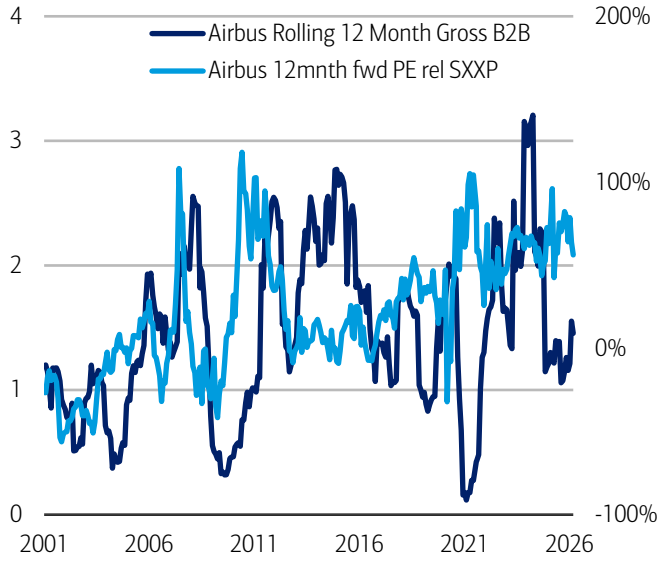
**Exhibit 24: Boeing 12mnth Rolling B2B and deliveries**
Boeing's Gross B2B and deliveries fell significantly after the 737MAX grounding in 2019




**Source:** BofA Global Research estimates

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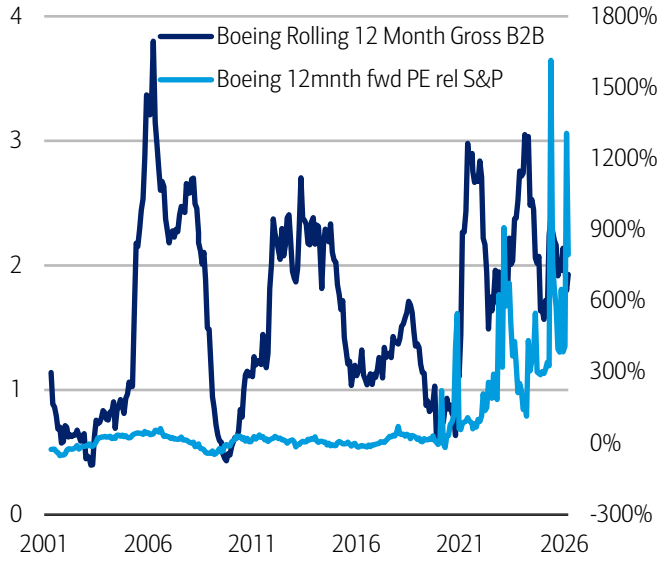
**Exhibit 25: Airbus 12mnth Rolling B2B vs. Air 12mnth fwd PE rel SXXP**
Airbus trades at a premium vs SXXP due to high backlog visibility and the recovery of air traffic




**Source:** BofA Global Research estimates

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**Exhibit 26: Boeing 12mnth Rolling B2B vs. BA 12mnth fwd PE rel S&P**
Boeing's 12M fwd PE multiple trades at a premium vs S&P due to a level of EPS




**Source:** BofA Global Research estimates

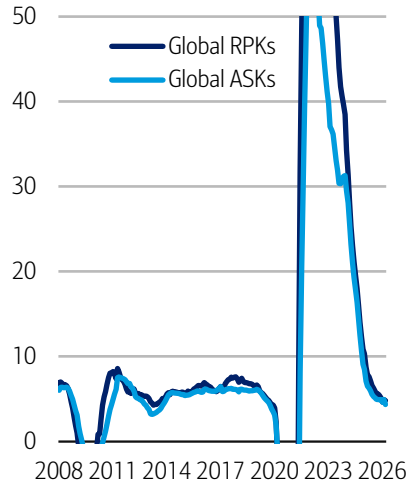
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# Air traffic & Capacity

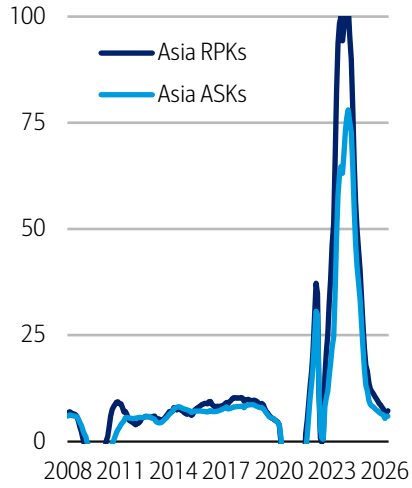
**Exhibit 27: Global RPKs and ASKs (%)**
COVID-19 drove global traffic growth to all time low levels in 2020




**Source:** IATA

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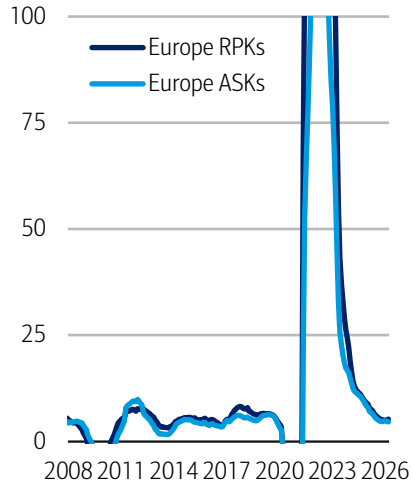
**Exhibit 28: Asia RPKs and ASKs (%)**
Asia-Pacific has increases significantly through 2023 as result of China re-opening




**Source:** IATA

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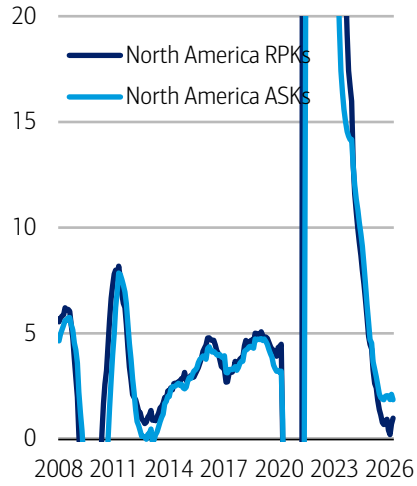
**Exhibit 29: Europe RPKs and ASKs (%)**
Europe started to improve from mid-2021 onwards




**Source:** IATA

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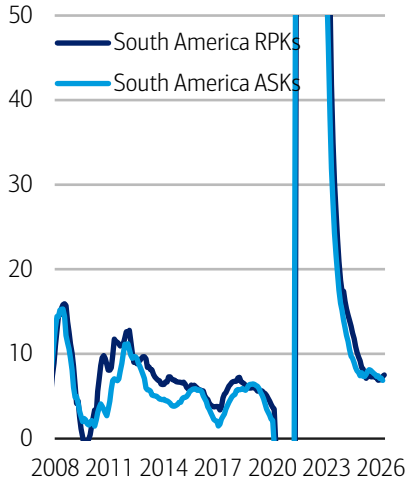
**Exhibit 30: North America RPKs and ASKs (%)**
NA has higher domestic mix than Europe




**Source:** IATA

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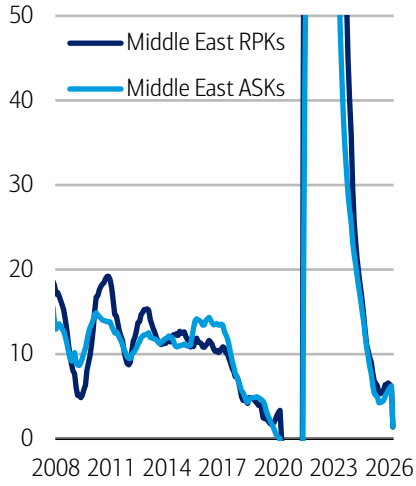
**Exhibit 31: South America RPKs and ASKs (%)**
South America relies heavily on intracontinental travel




**Source:** IATA

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**Exhibit 32: Middle East RPKs and ASKs (%)**
Middle East relies heavily on international long-haul traffic through major airport hubs




**Source:** IATA

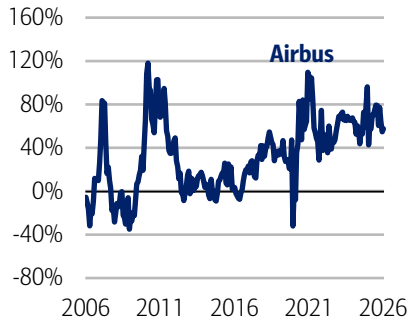
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# Relative stock valuations

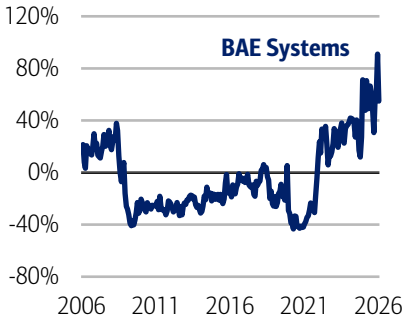
**Exhibit 33: Airbus 12 mnth fwd PE rel SXXP**
Airbus has re-rated due to high backlog visibility




**Source:** DataStream

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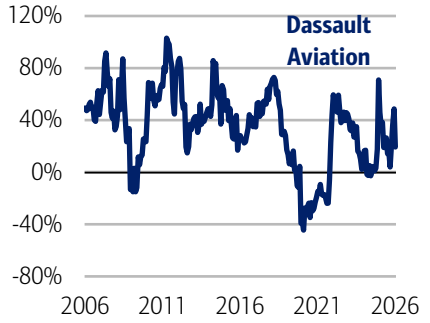
**Exhibit 34: BAE 12 mnth fwd PE rel SXXP**
BAE has re-rated since Feb 2022 due to increasing defence budgets




**Source:** DataStream

BofA GLOBAL RESEARCH

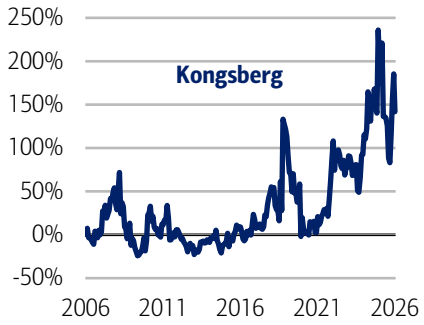
**Exhibit 35: Dassault 12 mnth fwd PE rel SXXP**
Dassault has re-rated strongly given improved budget outlook




**Source:** DataStream

BofA GLOBAL RESEARCH

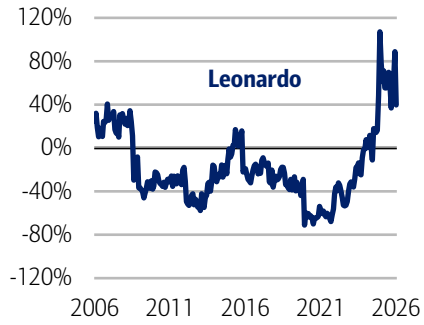
**Exhibit 36: Kongsberg 12 mnth fwd PE rel SXXP**
Kongsberg has re-rated since Feb 2022




**Source:** DataStream

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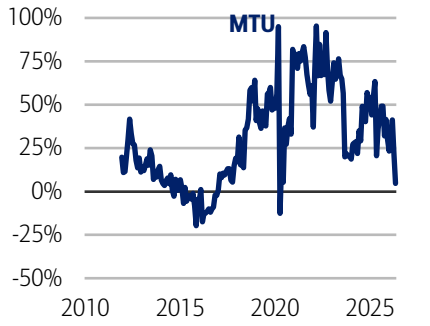
**Exhibit 37: Leonardo 12 mnth fwd PE rel SXXP**
Leonardo has re-rated significantly since Feb 22




**Source:** DataStream

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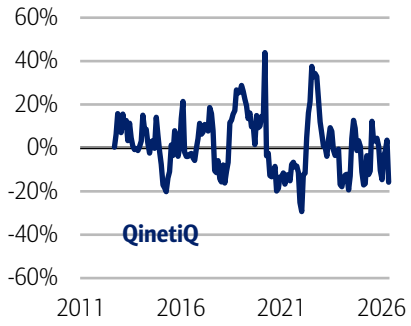
**Exhibit 38: MTU 12 mnth fwd PE rel SXXP**
MTU has de-rated due to GTF concerns




**Source:** DataStream

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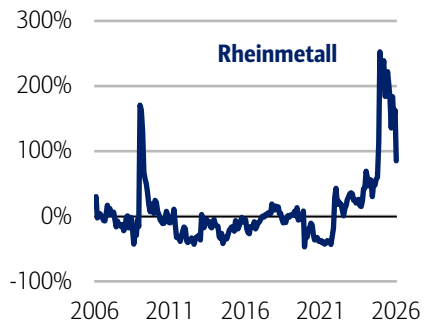
**Exhibit 39: QinetiQ 12 mnth fwd PE rel SXXP**
QinetiQ is the only defence name that has de-rated since Feb 22 due to concerns around margins and cap allocation




**Source:** DataStream

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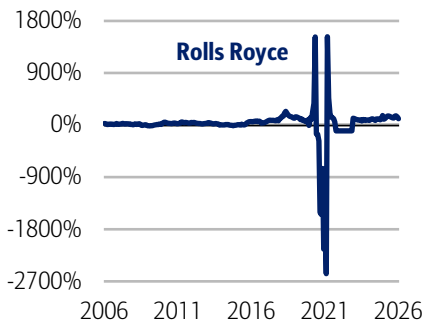
**Exhibit 40: Rheinmetall 12 mnth fwd PE rel SXXP**
Rheinmetall has re-rated since Feb 2022 due to strong growth on Ammo




**Source:** DataStream

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**Exhibit 41: Rolls Royce 12 mnth fwd PE rel SXXP**
RR's valuation has re-rated due to strong WB recovery and a turnaround plan



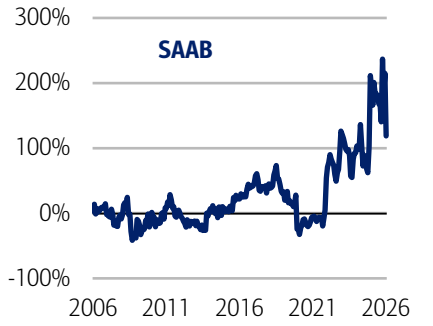

**Source:** DataStream

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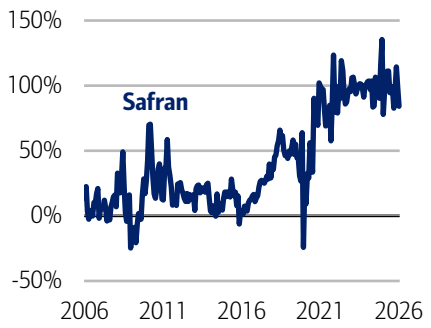
**Exhibit 42: SAAB 12 mnth fwd PE rel SXXP**
SAAB has re-rated since Feb 22 due to strong growth outlook and Sweden potentially entering NATO




**Source:** DataStream

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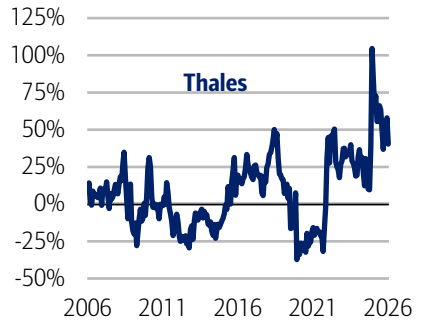
**Exhibit 43: Safran 12 mnth fwd PE rel SXXP**
Safran has re-rated since 2020 lows due to strong aftermarket growth and overall narrowbody recovery




**Source:** DataStream

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**Exhibit 44: Thales 12 mnth fwd PE rel SXXP**
Thales has re-rated since Feb 2022 due to increasing defence budgets




**Source:** DataStream

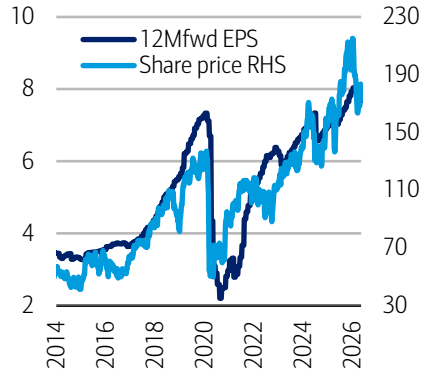
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# A&D EPS Trends

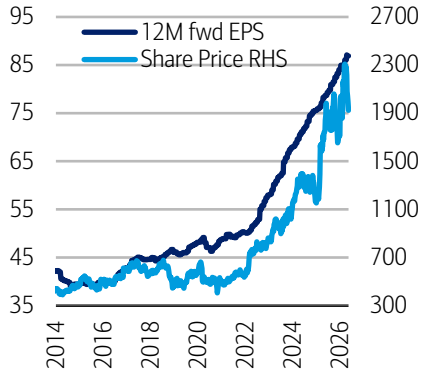
**Exhibit 45: Airbus EPS vs Share price**
Airbus has faced positive EPS revisions as the company delivered 735 deliveries in 2023




**Source:** DataStream

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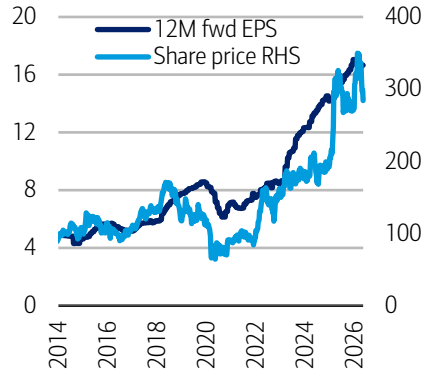
**Exhibit 46: BAE EPS vs Share price**
BAE EPS expectations have grown reflecting strong growth on defence budgets




**Source:** DataStream

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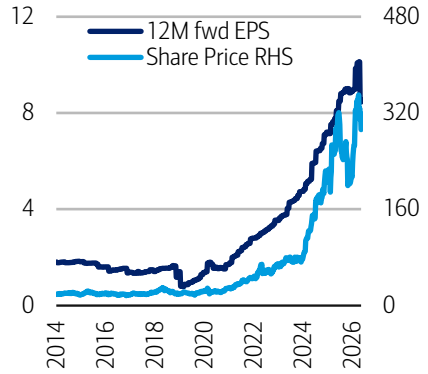
**Exhibit 47: Dassault EPS vs Share price**
Dassault EPS expectations have increased on improved budget outlook




**Source:** DataStream

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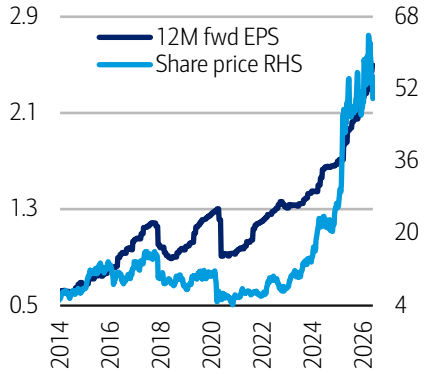
**Exhibit 48: Kongsberg EPS vs Share price**
Kongsberg EPS/share price has been positively correlated since 2019




**Source:** DataStream

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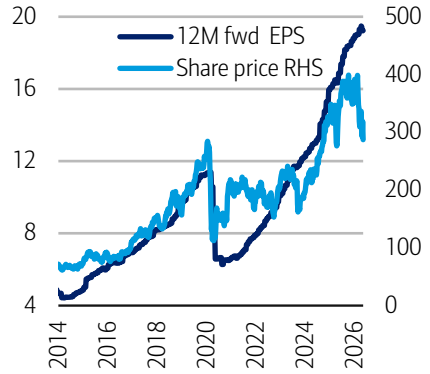
**Exhibit 49: Leonardo EPS vs Share price**
Leonardo EPS expectations have increased since 2020 lows




**Source:** DataStream

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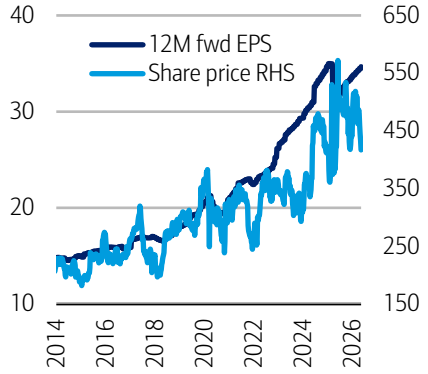
**Exhibit 50: MTU EPS vs Share price**
GTF concerns weighed on MTU share price performance through 3Q23




**Source:** DataStream

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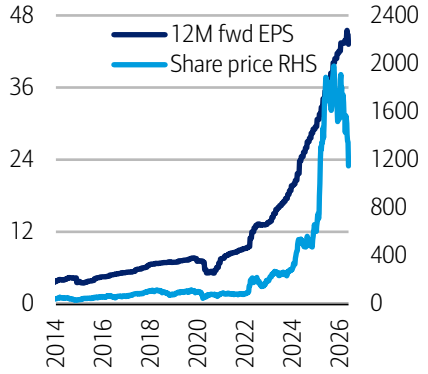
**Exhibit 51: QinetiQ EPS vs Share price**
QQ EPS growth has been more limited than EU defence peers due to limited margin expansion




**Source:** DataStream

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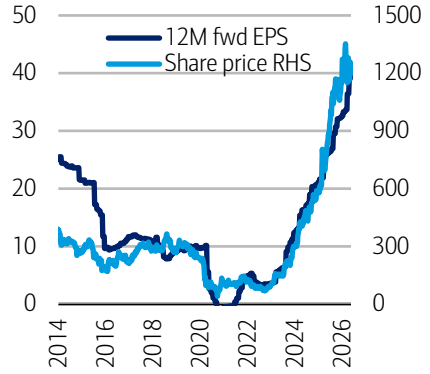
**Exhibit 52: Rheinmetall EPS vs Share price**
Rheinmetall EPS expectations have increased due to strong growth outlook on Ammo




**Source:** DataStream

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**Exhibit 53: Rolls Royce EPS vs Share price**
Rolls Royce's share price started to improve since late 2022 due to the widebody recovery



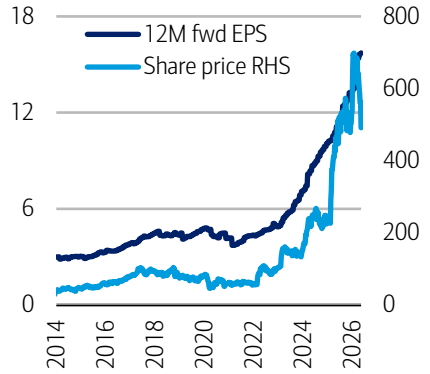

**Source:** DataStream

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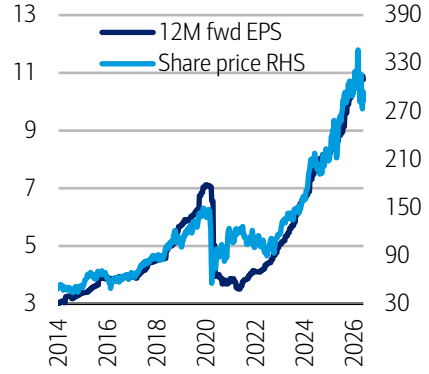
**Exhibit 54: SAAB EPS vs Share price**
SAAB has seen EPS upgrades since Feb 22 due to strong growth outlook




**Source:** DataStream

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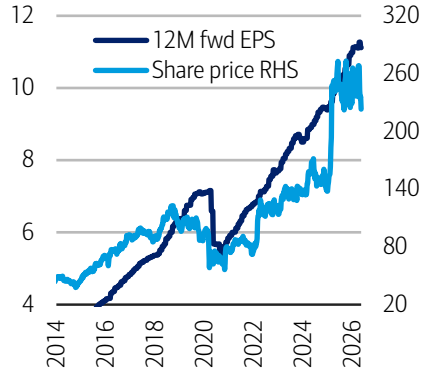
**Exhibit 55: Safran EPS vs Share price**
Safran faced strongly positive earnings revisions due to strong aftermarket growth




**Source:** DataStream

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**Exhibit 56: Thales EPS vs Share price**
EPS expectations have increased significantly as Thales should benefit from increasing defence budgets, primarily in Europe




**Source:** DataStream

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# A&D Compsheet

**Exhibit 57: A&D Compsheet**
Below we highlight our valuation peer comparison table

| Europe | | | | | EV/EBITDA | | | | | EV/EBIT | | | | | PE (x) | | | | | DY | | | | | FCF yield | | | | |
|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|
| | Rating | Currency | Price | Mcap (USD) | 2026 | 2027 | 2028 | 2029 | 2030 | 2026 | 2027 | 2028 | 2029 | 2030 | 2026 | 2027 | 2028 | 2029 | 2030 | 2026 | 2027 | 2028 | 2029 | 2030 | 2026 | 2027 | 2028 | 2029 | 2030 |
| Airbus | 1 - Buy | EUR | 173 | 158,451 | 10.3 | 9.3 | 7.1 | 5.3 | 4.7 | 14.8 | 13.0 | 9.2 | 6.6 | 5.8 | 25.0 | 21.9 | 15.3 | 11.1 | 10.0 | 1.6% | 1.8% | 2.6% | 3.6% | 4.0% | 3.1% | 4.5% | 7.0% | 9.9% | 11.1% |
| Babcock | 1 - Buy | GBP | 1,009 | 6,570 | 9.4 | 8.4 | 7.6 | 6.2 | 5.2 | 12.5 | 11.2 | 10.1 | 8.2 | 6.9 | 17.2 | 15.3 | 13.7 | 11.2 | 9.5 | 1.1% | 2.1% | 2.6% | 3.1% | 3.6% | 4.2% | 5.4% | 6.6% | 9.0% | 10.8% |
| BAE Systems | 1 - Buy | GBP | 1,892 | 77,726 | 12.9 | 11.6 | 10.3 | 9.1 | 8.2 | 17.1 | 14.8 | 12.9 | 11.1 | 9.9 | 23.1 | 19.6 | 16.7 | 14.7 | 12.9 | 2.0% | 2.2% | 2.4% | 2.6% | 2.8% | 2.4% | 4.9% | 6.0% | 6.6% | 7.3% |
| Dassault Aviation | 2 - Neutral | EUR | 279 | 26,024 | 14.1 | 11.9 | 11.6 | 9.7 | 7.1 | 18.4 | 15.1 | 14.9 | 12.1 | 8.6 | 17.8 | 14.3 | 13.5 | 11.6 | 9.5 | 1.8% | 1.8% | 1.9% | 2.0% | 2.0% | -2.9% | -3.1% | 0.9% | 3.8% | 6.3% |
| Hensoldt | 1 - Buy | EUR | 72 | 10,199 | 18.0 | 13.9 | 10.4 | 8.1 | 6.2 | 24.8 | 18.7 | 13.8 | 10.8 | 8.2 | 40.6 | 29.1 | 21.2 | 17.3 | 13.6 | 0.9% | 1.2% | 1.7% | 2.0% | 2.6% | 2.6% | 4.1% | 5.2% | 6.7% | 8.1% |
| Indra | 1 - Buy | EUR | 49 | 10,465 | 10.4 | 8.3 | 6.4 | 5.3 | 4.4 | 12.4 | 9.8 | 7.6 | 6.2 | 5.1 | 18.7 | 15.1 | 12.4 | 10.9 | 10.1 | 0.7% | 0.8% | 0.9% | 1.1% | 1.2% | 4.4% | 5.6% | 7.1% | 8.3% | 9.4% |
| Kongsberg Gruppen | 1 - Buy | NOK | 292 | 27,830 | 27.9 | 21.5 | 16.4 | 13.1 | 10.8 | 34.3 | 25.9 | 19.4 | 15.4 | 12.6 | 42.9 | 32.8 | 25.7 | 21.2 | 18.2 | 0.8% | 0.9% | 1.0% | 1.1% | 1.2% | 3.6% | 4.8% | 4.3% | 4.2% | 5.1% |
| Leonardo | 1 - Buy | EUR | 49 | 33,501 | 10.2 | 8.3 | 7.2 | 5.9 | 5.0 | 14.3 | 11.4 | 9.6 | 7.7 | 6.4 | 21.9 | 17.3 | 14.2 | 11.5 | 9.8 | 1.4% | 1.7% | 2.1% | 2.6% | 3.1% | 4.4% | 4.8% | 5.5% | 6.7% | 8.2% |
| Melrose | 1 - Buy | GBP | 487 | 8,756 | 10.7 | 9.0 | 7.5 | 6.6 | 6.2 | 11.2 | 9.4 | 7.8 | 6.8 | 6.4 | 13.0 | 10.0 | 7.9 | 6.7 | 6.2 | 1.9% | 2.5% | 3.1% | 3.7% | 4.0% | 2.8% | 4.9% | 7.8% | 10.3% | 0.0% |
| MTU | 1 - Buy | EUR | 288 | 17,132 | 9.1 | 8.4 | 7.5 | 6.6 | 5.8 | 12.5 | 11.5 | 10.3 | 8.9 | 7.7 | 16.1 | 15.1 | 13.3 | 11.5 | 9.9 | 1.0% | 2.1% | 3.1% | 3.6% | 4.2% | 2.8% | 5.0% | 5.8% | 7.2% | 8.5% |
| QinetiQ | 3 - Underperform | GBP | 402 | 3,219 | 7.7 | 7.0 | 6.2 | 5.9 | 5.5 | 10.3 | 9.4 | 8.3 | 7.8 | 7.2 | 13.6 | 12.0 | 10.4 | 9.7 | 8.7 | 2.3% | 2.4% | 2.7% | 2.8% | 3.0% | 6.0% | 7.4% | 8.2% | 8.7% | 9.5% |
| Renk | 1 - Buy | EUR | 43 | 5,269 | 15.1 | 12.1 | 9.6 | 7.6 | 6.1 | 18.0 | 14.4 | 11.2 | 8.5 | 6.7 | 26.0 | 20.4 | 15.9 | 12.1 | 9.7 | 1.5% | 1.9% | 2.8% | 3.7% | 4.4% | 2.5% | 3.7% | 5.2% | 6.6% | 8.4% |
| Rheinmetall | 1 - Buy | EUR | 1,115 | 57,149 | 15.8 | 10.9 | 8.1 | 5.8 | 4.2 | 19.4 | 13.1 | 9.6 | 6.8 | 4.8 | 28.8 | 20.2 | 14.5 | 10.4 | 7.6 | 2.0% | 2.9% | 4.1% | 5.7% | 7.9% | 5.9% | 5.0% | 2.0% | 6.0% | 11.4% |
| Rolls-Royce | 1 - Buy | GBP | 1,197 | 135,090 | 19.7 | 16.9 | 14.1 | 12.1 | 10.3 | 24.5 | 20.7 | 17.1 | 14.5 | 12.2 | 32.2 | 27.5 | 22.8 | 19.5 | 16.6 | 1.1% | 1.3% | 1.5% | 1.8% | 2.1% | 3.7% | 4.6% | 5.5% | 6.6% | 7.7% |
| SAAB | 2 - Neutral | SEK | 492 | 28,091 | 20.9 | 15.9 | 13.0 | 10.2 | 8.5 | 27.1 | 20.3 | 16.5 | 12.8 | 10.7 | 35.3 | 26.6 | 21.8 | 17.3 | 14.8 | 0.6% | 0.8% | 0.9% | 1.2% | 1.4% | 1.2% | 2.1% | 3.1% | 4.1% | 4.6% |
| Safran | 1 - Buy | EUR | 283 | 141,322 | 14.5 | 12.6 | 11.2 | 9.9 | 8.7 | 18.2 | 15.7 | 13.8 | 12.2 | 10.7 | 28.6 | 22.8 | 19.7 | 17.2 | 15.0 | 1.4% | 1.8% | 2.0% | 2.3% | 2.7% | 3.8% | 4.6% | 5.3% | 6.1% | 7.0% |
| Thales | 1 - Buy | EUR | 222 | 53,519 | 13.3 | 11.4 | 10.0 | 8.4 | 7.2 | 15.8 | 13.4 | 11.6 | 9.8 | 8.3 | 19.9 | 17.2 | 15.3 | 13.2 | 11.7 | 2.0% | 2.3% | 2.6% | 3.0% | 3.4% | 4.5% | 5.4% | 6.4% | 0.0% | 0.0% |
| TKMS | 2 - Neutral | EUR | 72 | 5,394 | 11.6 | 7.7 | 6.3 | 4.4 | 3.0 | 18.4 | 11.6 | 9.2 | 6.2 | 4.2 | 32.6 | 25.1 | 19.6 | 15.9 | 13.0 | 1.3% | 1.6% | 1.9% | 2.4% | 3.0% | 14.7% | 14.4% | 3.4% | 6.9% | 8.4% |
| EU Civil Aftermarket | | | | | 11.8 | 10.5 | 9.4 | 8.3 | 7.3 | 15.4 | 13.6 | 12.0 | 10.6 | 9.2 | 22.4 | 19.0 | 16.5 | 14.3 | 12.5 | 1.2% | 1.9% | 2.6% | 3.0% | 3.4% | 3.4% | 4.7% | 5.6% | 6.6% | 7.7% |
| EU Civil OE | | | | | 10.3 | 9.3 | 7.1 | 5.3 | 4.7 | 14.8 | 13.0 | 9.2 | 6.6 | 5.8 | 25.0 | 21.9 | 15.3 | 11.1 | 10.0 | 1.6% | 1.8% | 2.6% | 3.6% | 4.0% | 3.1% | 4.5% | 7.0% | 9.9% | 11.1% |
| EU Defence | | | | | 14.4 | 11.4 | 9.3 | 7.5 | 6.2 | 18.7 | 14.5 | 11.6 | 9.3 | 7.6 | 26.7 | 20.9 | 16.8 | 13.8 | 11.6 | 1.4% | 1.7% | 2.1% | 2.6% | 3.1% | 4.7% | 5.6% | 5.2% | 6.2% | 7.6% |
| Pan-Euro Average | | | | | 14.0 | 11.4 | 9.5 | 7.8 | 6.5 | 18.0 | 14.4 | 11.8 | 9.6 | 7.9 | 25.2 | 20.1 | 16.3 | 13.5 | 11.5 | 1.4% | 1.8% | 2.2% | 2.7% | 3.2% | 3.9% | 4.9% | 5.3% | 6.5% | 7.3% |

| Non Europe | | | | | EV/EBITDA | | | | | EV/EBIT | | | | | PE (x) | | | | | DY | | | | | FCF yield | | | | |
|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|
| | Rating | Currency | Price | Mcap (USD) | 2026 | 2027 | 2028 | 2029 | 2030 | 2026 | 2027 | 2028 | 2029 | 2030 | 2026 | 2027 | 2028 | 2029 | 2030 | 2026 | 2027 | 2028 | 2029 | 2030 | 2026 | 2027 | 2028 | 2029 | 2030 |
| Boeing | 1 - Buy | USD | 229 | 180,687 | 54.4 | 26.0 | 16.1 | 13.5 | 11.4 | 119.5 | 36.1 | 20.0 | 16.6 | 13.9 | -269.7 | 53.9 | 26.3 | 21.6 | 19.0 | 0.0% | 0.0% | 0.0% | 0.0% | 0.0% | 1.4% | 3.5% | 4.9% | 5.0% | 6.0% |
| Embraer | 1 - Buy | USD | 59 | 10,870 | 9.8 | 7.6 | | | | 12.9 | 9.6 | | | | 20.6 | 15.7 | | | | 0.4% | 0.6% | | | | 4.4% | 8.0% | | | |
| General Dynamics | 1 - Buy | USD | 341 | 92,114 | 15.4 | 13.9 | 12.7 | 11.5 | 11.0 | 18.0 | 16.1 | 14.5 | 13.1 | 12.1 | 20.4 | 18.2 | 16.3 | 14.7 | 13.7 | 1.9% | 2.1% | 2.2% | 2.4% | 2.6% | 5.0% | 5.7% | 6.2% | 7.0% | 7.4% |
| General Electric | 1 - Buy | USD | 292 | 304,175 | 31.9 | 28.2 | 25.1 | 22.9 | 20.9 | 34.7 | 30.4 | 27.0 | 24.5 | 22.2 | 39.1 | 34.1 | 29.9 | 27.0 | 24.3 | 0.6% | 0.7% | 0.9% | 1.0% | 1.1% | 2.7% | 3.3% | 3.6% | 4.0% | 4.5% |
| HEICO | 1 - Buy | USD | 297 | 35,137 | 33.9 | 30.4 | 27.7 | | | 40.2 | 35.6 | 31.9 | | | 52.1 | 45.4 | 41.3 | | | 0.1% | 0.1% | 0.1% | | | 2.1% | 2.4% | 2.6% | | |
| Hexcel Corp | 2 - Neutral | USD | 92 | 6,976 | 20.5 | 17.8 | 15.0 | | | 30.3 | 24.9 | 20.0 | | | 40.2 | 31.3 | 24.3 | | | 0.8% | 0.8% | 0.9% | | | 2.8% | 3.4% | 4.2% | | |
| Huntington Ing Industries | 2 - Neutral | USD | 337 | 13,277 | 16.0 | 12.9 | 10.7 | 9.2 | 8.0 | 21.3 | 16.6 | 13.5 | 11.4 | 9.8 | 19.0 | 16.1 | 13.5 | 11.8 | 10.5 | 1.7% | 1.7% | 1.9% | 2.1% | 2.3% | 4.0% | 4.8% | 5.7% | 6.7% | 8.0% |
| L3Harris | 1 - Buy | USD | 308 | 57,308 | 15.3 | 14.2 | 13.1 | 12.1 | 11.1 | 17.9 | 16.3 | 14.8 | 13.4 | 12.2 | 26.7 | 23.4 | 20.4 | 18.3 | 16.6 | 1.6% | 1.7% | 1.8% | 1.9% | 2.0% | 5.2% | 5.3% | 5.4% | 5.6% | 6.3% |
| Leonardo DRS | 1 - Buy | USD | 43 | 11,433 | 21.4 | 19.1 | 17.7 | 16.4 | 15.0 | 26.3 | 22.9 | 20.8 | 19.1 | 17.3 | 33.0 | 29.6 | 26.8 | 24.5 | 22.6 | 0.9% | 1.0% | 1.1% | 1.2% | 1.3% | 2.4% | 2.7% | 3.1% | 3.6% | 3.9% |
| Lockheed Martin | 2 - Neutral | USD | 520 | 119,988 | 12.5 | 11.5 | 10.4 | 9.6 | 9.0 | 15.2 | 14.6 | 14.2 | 13.7 | 13.3 | 17.4 | 15.7 | 13.8 | 12.6 | 11.6 | 2.7% | 2.7% | 2.7% | 2.7% | 2.7% | 5.4% | 6.3% | 6.5% | 7.2% | 7.9% |
| Northrop Grumman | 1 - Buy | USD | 549 | 77,927 | 14.2 | 12.9 | 12.0 | | | 18.9 | 17.1 | 15.8 | | | 19.5 | 17.8 | 16.9 | | | 1.8% | 2.0% | 2.2% | | | 4.1% | 4.4% | 4.7% | | |
| Raytheon | 1 - Buy | USD | 176 | 236,585 | 18.1 | 16.7 | 15.2 | | | 25.8 | 23.0 | 20.4 | | | 25.5 | 23.0 | 20.9 | | | 1.6% | 1.7% | 1.8% | | | 3.6% | 3.8% | 4.2% | | |
| StandardAero | 2 - Neutral | USD | 26 | 8,751 | 11.1 | 9.2 | 7.7 | 6.3 | | 14.5 | 11.3 | 9.2 | 7.4 | | 19.5 | 14.6 | 12.0 | 9.7 | | 0.0% | 0.0% | 0.0% | 0.0% | | 3.9% | 5.4% | 6.9% | 8.5% | |
| Textron | 2 - Neutral | USD | 92 | 15,918 | 10.7 | 9.9 | 8.9 | 8.0 | 7.1 | 14.3 | 13.1 | 11.5 | 10.3 | 9.0 | 14.2 | 12.7 | 11.2 | 10.0 | 8.7 | 0.1% | 0.1% | 0.1% | 0.1% | 0.1% | 4.5% | 5.7% | 7.2% | 7.9% | 8.4% |
| TransDigm Ltd | 1 - Buy | USD | 1,179 | 65,936 | 18.5 | 16.4 | 14.9 | 13.7 | 12.6 | 20.2 | 17.8 | 16.1 | 14.7 | 13.5 | 29.7 | 23.3 | 20.5 | 18.3 | 17.1 | 0.0% | 0.0% | 0.0% | 0.0% | 0.0% | 3.6% | 4.0% | 4.8% | 5.2% | 5.8% |
| US Civil Aftermarket | | | | | 25.2 | 22.3 | 20.0 | 18.3 | 16.7 | 27.4 | 24.1 | 21.5 | 19.6 | 17.8 | 34.4 | 28.7 | 25.2 | 22.6 | 20.7 | 0.3% | 0.4% | 0.4% | 0.5% | 0.6% | 3.1% | 3.6% | 4.2% | 4.6% | 5.1% |
| US Civil OE | | | | | 28.5 | 17.9 | 13.3 | 10.8 | 9.3 | 54.7 | 24.7 | 17.2 | 13.5 | 11.5 | -71.8 | 32.7 | 20.6 | 15.8 | 13.9 | 0.3% | 0.3% | 0.3% | 0.0% | 0.0% | 2.9% | 4.2% | 5.4% | 6.5% | 7.2% |
| US Defence | | | | | 16.3 | 14.5 | 13.2 | 11.8 | 10.8 | 20.9 | 18.4 | 16.6 | 14.4 | 13.2 | 23.5 | 20.9 | 18.7 | 16.8 | 15.3 | 1.7% | 1.8% | 1.9% | 1.9% | 2.1% | 4.1% | 4.6% | 4.9% | 5.8% | 6.5% |
| US Average | | | | | 20.3 | 16.4 | 14.8 | 12.3 | 11.8 | 28.7 | 20.4 | 17.8 | 14.4 | 13.7 | 7.2 | 25.0 | 21.0 | 16.9 | 16.0 | 0.9% | 1.0% | 1.1% | 1.1% | 1.3% | 3.7% | 4.6% | 5.0% | 6.1% | 6.5% |

**Source:** BofA Global Research estimates



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**Exhibit 58: Stocks mentioned**
Rating and price summary

| BofA Ticker | Bloomberg ticker | Company name | Price | Rating |
|---|---|---|---|---|
| EADSF | AIR FP | Airbus | EUR 167.68 | B-1-7 |
| EADSY | EADSY US | Airbus | US$ 48.33 | B-1-7 |
| HNSDF | HAG GY | Hensoldt | EUR 74.1 | C-1-7 |
| ISMAF | IDR SM | Indra | EUR 49.59 | B-1-7 |
| FINMF | LDO IM | Leonardo | EUR 48.99 | B-1-7 |
| MTUAF | MTX GY | MTU Aero Engines | EUR 273.1 | B-1-7 |
| RYCEF | RR/ LN | Rolls Royce | 1140p | B-1-7 |
| RYCEY | RYCEY US | Rolls Royce | US$ 15.26 | C-1-7 |
| SAABF | SAABB SS | SAAB AB | SEK 482.75 | C-2-7 |

**Source:** BofA Global Research

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## Price objective basis & risk

**Airbus (EADSF / EADSY)**
To derive our €256 (US$74.37/ADR) Airbus price objective, we use FCF yield multiples. Our valuation is based on a multiple of 20x, a 25% premium to Airbus through cycle PE of 16x. A premium is warranted in our view in part given an improving supply chain. We use the through cycle PE multiple at our FCF target as we are confident of Airbus' ability to generate 1x FCF / net income medium term. We use this target multiple against our 2028-29 FCF estimates adjusted against the current forward curve and discount back to 2026.

Upside risks to our PO: 1) Euro weakness against USD, 2) a major A350/A320 order.

Downside risks to our PO: 1) A350XWB experiences severe in-service disruption, 2) Supply chain disruption and causing delays on rates 3) USD weakness against the EUR

**Hensoldt AG (HNSDF)**
Our PO of EUR92.5 is based on 2030E EV/EBIT multiples discounted back to 2026E. We use a target EV/EBIT multiple of 15.6x, implying a 20% premium to through cycle multiple of 13x.

Upside risks are: 1) continued strong order momentum, 2) strong execution leading to better than expected cash, 3) development of a large scale and long term conflict that support higher defence spending.

Downside risks are: 1) delays on the phasing of orders, 2) partial reduction on the German defence budget plan due to inflationary pressures, 3) execution issues that cause charges/provisions to be taken.

**Indra Sistemas (ISMAF)**
To derive our €73 price objective, we do a SOTP by applying target EBIT multiples to our 2029 estimates in Defence (17x), Air Traffic Management (15x), Space (10x), Minsait (4x), Mobility (9x), Indramind (12x) and ITP (14x). We apply a 10% conglomerate discount and we discount the valuation to 2026.

Upside risks to our price objective are 1) Spanish defence budget going to 2% of the GDP earlier than 2029 and 2) Indra fully disposing Minsait.

Downside risks to our price objective are 1) elevated valuations put a higher hurdle rate for M&A, 2) potential margin dilution if Indra acquires defence companies beyond the defence electronics space, and 3) risks related to closing of Hispasat acquisition.

**Leonardo (FINMF)**

To derive our €79.5 PO, we run a SOTP applying EV/EBIT target multiples to the 2030 estimates by division. We also apply 2030 EV/EBIT target multiples to the JVs, capture the value of the Rheinmetall JV through a DCF and include into the valuation the net cash position from the stake of Leonardo on MBDA.

Upside risks are further asset disposals or stronger mid-term cash flow potentially due to a larger than expected in export orders, better than expected execution on Industrial plan. Aerostructures disposal.

Downside risks are 1) weak working capital execution, 2) major reductions in the US, UK and Italy procurement for defence and security, 3) protracted execution challenges in Aerostructures and ATR, 4) Leonardo and Fincantieri potential collaboration leading to complex outlook for the future

**MTU Aero Engines (MTUAF)**
Our price objective is €380. To derive our price objective we apply 24x to our FCF. 24x is a slight discount vs the FCF multiples that we use on peers given slightly weaker FCF conversion mid term. Our valuation is based on our 2029-30 estimates discounted back to 2026.

Upside risks to our price objective are 1) a significant strength of the USD against the Euro (one cent move affects EBIT by EUR11mn excluding hedging), 2) a faster-than-expected recovery in airline traffic, and 3) China reopening.

Downside risks are 1) any significant USD weakness against the Euro, 2) a worse-than-expected passenger traffic slowdown and extended aircraft capacity cuts, 3) the cargo market cooling off due to economic recession, and 4) higher provisioning on the GTF because of durability issues.

**Rolls Royce (RYCEF / RYCEY)**
To derive our 1740p price objective (US$23.24/ADR), we take our 2030 FCF estimate, apply a 26x multiple to the underlying operational FCF unhedged and discount back to 2026. This compares to our peers average of 22-28x. We think this is fair because of improving performance and capital return. We then add back the NPV of the V2500 royalty payment and a valuation for the SMR business.

Upside risks: 1) strengthening of the USD versus Sterling, 2) better-than-expected passenger traffic leading to higher aftermarket growth, 3) China reopening driving widebody (WB) air-traffic, 4) higher oil prices.

Downside risks: 1) an exogenous event that causes a reduction in flying. 2) issues with the Trent XWB engines, 3) accelerated parking of WB airplanes with RR engines.

**SAAB AB (SAABF)**
Our SEK586 price objective is derived from applying 23.4x EV/EBIT to our 2029 EBIT estimate and discounting it back to 2026. We use 20.7x EV/EBIT, which represents a 15% premium to our through-cycle average multiples 18x. We think this is fair given the strong growth outlook across key divisions.

Upside risks to our price objective are Swedish sales growing beyond 3.6% in 2030 and all NATO members (ex Sweden) sales growing beyond 3.5%.

Downside risks to our price objective are a deteriorating environment for global defence budgets and/or a failing to secure large export orders.



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## Analyst Certification

I, Benjamin Heelan, hereby certify that the views expressed in this research report accurately reflect my personal views about the subject securities and issuers. I also certify that no part of my compensation was, is, or will be, directly or indirectly, related to the specific recommendations or view expressed in this research report.

## Special Disclosures

BofA Securities is currently acting as financial advisor to Kone OYJ in connection with its proposed acquisition of TK Elevator GmbH, which was announced on 29 April, 2026. The proposed transaction is subject to approval by shareholders of Kone OYJ and TK Elevator GmbH. This research report is not intended to provide voting advice, serve as an endorsement of the proposed transaction, or result in the procurement, withholding or revocation of a proxy.

**EMEA - Capital Goods, Aerospace & Defence Coverage Cluster**

| Investment rating | Company | BofA Ticker | Bloomberg symbol | Analyst |
|---|---|---|---|---|
| **BUY** | | | | |
| | Accelleron | ACLIF | ACLN SW | Uma Samlin |
| | Airbus | EADSF | AIR FP | Benjamin Heelan |
| | Airbus Group | EADSY | EADSY US | Benjamin Heelan |
| | Atlas Copco | ATLPF | ATCOA SS | Alexander Jones, CFA |
| | Atlas Copco | ATLKY | ATLKY US | Alexander Jones, CFA |
| | Babcock International | BCKIF | BAB LN | Benjamin Heelan |
| | Babcock International | BCKIY | BCKIY US | Benjamin Heelan |
| | BAE Systems | BAESF | BA/ LN | Benjamin Heelan |
| | BAE SYSTEMS | BAESY | BAESY US | Benjamin Heelan |
| | Daimler Truck | DTGHF | DTG GR | Alexander Jones, CFA |
| | Hensoldt AG | HNSDF | HAG GY | Benjamin Heelan |
| | Hexagon AB | HXGBF | HEXAB SS | Uma Samlin |
| | Hexagon AB | HXGBY | HXGBY US | Uma Samlin |
| | Indra Sistemas | ISMAF | IDR SM | Benjamin Heelan |
| | Jungheinrich Pref | JGHAF | JUN3 GY | Tore Fangmann |
| | KION Group AG | KNNGF | KGX GY | Tore Fangmann |
| | Knorr-Bremse AG | KNBHF | KBX GY | Alexander Jones, CFA |
| | Knorr-Bremse AG | KNRRY | KNRRY US | Alexander Jones, CFA |
| | Kone OYJ | KNYJF | KNEBV FH | Aron Ceccarelli |
| | Kone OYJ | KNYJY | KNYJY US | Aron Ceccarelli |
| | Kongsberg Gruppen | NSKFF | KOG NO | Benjamin Heelan |
| | Legrand | LGRVF | LR FP | Benjamin Heelan |
| | Legrand | LGRDY | LGRDY US | Benjamin Heelan |
| | Leonardo | FINMF | LDO IM | Benjamin Heelan |
| | Melrose plc | MLSPF | MRO LN | Benjamin Heelan |
| | MTU Aero Engines | MTUAF | MTX GY | Benjamin Heelan |
| | Nibe Industrier | NDRBF | NIBEB SS | Uma Samlin |
| | Prysmian | PRYMF | PRY IM | Uma Samlin |
| | Renk Group | RNKGF | R3NK GY | Benjamin Heelan |
| | Rexel | RXLSF | RXL FP | Aron Ceccarelli |
| | Rheinmetall AG | RNMBF | RHM GY | Benjamin Heelan |
| | Rolls Royce | RYCEF | RR/ LN | Benjamin Heelan |
| | Rolls Royce | RYCEY | RYCEY US | Benjamin Heelan |
| | Safran | SAFRY | SAFRY US | Benjamin Heelan |
| | Safran SA | SAFRF | SAF FP | Benjamin Heelan |
| | Schneider | SBGSF | SU FP | Benjamin Heelan |
| | Schneider | SBGSY | SBGSY US | Benjamin Heelan |
| | Siemens | SMAWF | SIE GY | Benjamin Heelan |
| | Siemens | SIEGY | SIEGY US | Benjamin Heelan |
| | Siemens Energy AG | SMEGF | ENR GY | Alexander Jones, CFA |
| | Siemens Energy AG | SMERY | SMERY US | Alexander Jones, CFA |
| | Thales | THLEF | HO FP | Benjamin Heelan |
| | Volvo Group | VOLVF | VOLVB SS | Alexander Jones, CFA |
| | Volvo Group | VLVLY | VLVLY US | Alexander Jones, CFA |
| | Wartsila OYJ | WRTBF | WRT1V FH | Uma Samlin |
| | Weir Group | WEIGF | WEIR LN | Tore Fangmann |
| **NEUTRAL** | | | | |
| | ABB Ltd | ABLZF | ABBN SW | Benjamin Heelan |
| | ABB Ltd | ABBNY | ABBNY US | Benjamin Heelan |
| | Ariston Group | XRTRF | ARIS IM | Uma Samlin |
| | Assa Abloy | ASAZF | ASSAB SS | Aron Ceccarelli |
| | Assa Abloy | ASAZY | ASAZY US | Aron Ceccarelli |
| | Dassault Aviation | DUAVF | AM FP | Benjamin Heelan |
| | FLSmidth | FLIDF | FLS DC | Tore Fangmann |
| | Metso Corporation | OUKPF | METSO FH | Tore Fangmann |
| | Nexans | NXPRF | NEX FP | Uma Samlin |
| | Nordex SE | NRDXF | NDX1 GY | Alexander Jones, CFA |
| | SAAB AB | SAABF | SAABB SS | Benjamin Heelan |
| | Sandvik | SDVKF | SAND SS | Alexander Jones, CFA |
| | Sandvik | SDVKY | SDVKY US | Alexander Jones, CFA |
| | Schindler Group | SHLAF | SCHP SW | Aron Ceccarelli |
| | ThyssenKrupp Marine Systems | TKMSF | TKMS GR | Benjamin Heelan |



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**EMEA - Capital Goods, Aerospace & Defence Coverage Cluster**

| Investment rating | Company | BofA Ticker | Bloomberg symbol | Analyst |
|---|---|---|---|---|
| **UNDERPERFORM** | | | | |
| | Alfa Laval | ALFVF | ALFA SS | Uma Samlin |
| | Alfa Laval | ALFVY | ALFVY US | Uma Samlin |
| | Electrolux | ELUXY | ELUXY US | Uma Samlin |
| | Electrolux | ELRXF | ELUXB SS | Uma Samlin |
| | Epiroc AB | EPIAF | EPIA SS | Alexander Jones, CFA |
| | Epiroc AB | EPOAY | EPOAY US | Alexander Jones, CFA |
| | GEA | GEAGF | G1A GY | Uma Samlin |
| | QinetiQ | QNTQF | QQ/ LN | Benjamin Heelan |
| | Rational Ag | RTLLF | RAA GY | Uma Samlin |
| | SKF | SKFRY | SKFRY US | Alexander Jones, CFA |
| | SKF | SKUFF | SKFB SS | Alexander Jones, CFA |
| | Traton | TRATF | 8TRA GY | Alexander Jones, CFA |
| | Traton | XTONF | 8TRA SS | Alexander Jones, CFA |
| | Trelleborg | TBABF | TRELB SS | Alexander Jones, CFA |
| | Vestas | VWSYF | VWS DC | Alexander Jones, CFA |
| | Vestas | VWDRY | VWDRY US | Alexander Jones, CFA |

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| Coverage Universe | Count | Percent | Inv. Banking Relationships [R1] | Count | Percent |
|---|---|---|---|---|---|
| Buy | 42 | 71.19% | Buy | 34 | 80.95% |
| Hold | 10 | 16.95% | Hold | 8 | 80.00% |
| Sell | 7 | 11.86% | Sell | 5 | 71.43% |

**Equity Investment Rating Distribution: Global Group (as of 31 Mar 2026)**

| Coverage Universe | Count | Percent | Inv. Banking Relationships [R1] | Count | Percent |
|---|---|---|---|---|---|
| Buy | 1993 | 55.76% | Buy | 1186 | 59.51% |
| Hold | 821 | 22.97% | Hold | 509 | 62.00% |
| Sell | 760 | 21.26% | Sell | 400 | 52.63% |

[R1] Issuers that were investment banking clients of BofA Securities or one of its affiliates within the past 12 months. For purposes of this Investment Rating Distribution, the coverage universe includes only stocks. A stock rated Neutral is included as a Hold, and a stock rated Underperform is included as a Sell.

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| Investment rating | Total return expectation (within 12-month period of date of initial rating) | Ratings dispersion guidelines for coverage cluster[R2] |
|---|---|---|
| Buy | ≥ 10% | ≤ 70% |
| Neutral | ≥ 0% | ≤ 30% |
| Underperform | N/A | ≥ 20% |

[R2]Ratings dispersions may vary from time to time where BofA Global Research believes it better reflects the investment prospects of stocks in a Coverage Cluster.

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